IS THE ENERGY CRISIS ACCELERATING THE LOW-CARBON TRANSITION? A NUANCED RESPONSE FOR ADVANCED ECONOMIES – PART 2[1]

Since the Trump administration returned to power, the already considerable disparity in energy policy between the United States and Europe has significantly increased. Admittedly, both are seeking energy sovereignty. But, while European policies remain focused on the low-carbon transition, the current US administration is focused on enhancing US dominance in the fossil fuel sector and rolling back measures that support the energy transition.

At first glance, the energy crisis is exacerbating this divergence. The US has consolidated its position as the world's leading exporter of hydrocarbons, and its strategic oil reserves have served as a buffer against the crisis. In contrast, the crisis in Europe has once again highlighted the cost of its dependence on hydrocarbon imports, which has given a significant boost to European policies for electrification and decarbonation.

Nevertheless, the analysis of the US situation needs to be contextualised, as it is part of a different dynamic. While energy sovereignty is not a driving force behind the transition as it is in Europe, the sharp rise in demand associated with the development of artificial intelligence is, in the short term, conducive to the decarbonation of the energy mix.

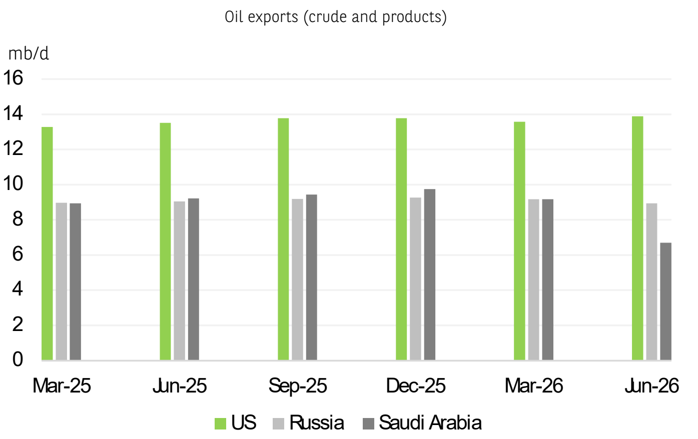
FOSSIL FUELS: THE WAR IN IRAN REINFORCES THE UNITED STATES' GLOBAL LEADERSHIP

The geopolitical constraints affecting exports from the two main OPEC+ producers, Russia and Saudi Arabia, are strengthening the United States' position as the world's leading exporter of oil and gas, with production rising by 3.5% and 3.8% respectively in Q2 2026 compared to the previous year. Although President Trump's goal of reducing the price of a barrel of crude oil to USD50 seems unattainable in the short term, the country's energy dominance — already evident before the crisis — has been reinforced since the outbreak of the war in Iran. In January 2026, US oil exports (both crude and refined products) accounted for 63% of the combined exports of Saudi Arabia and Russia, and were 1.1 times higher than those of the two countries in May 2026. As for gas (both liquefied and piped), US export volumes have remained above 21 billion cubic metres (bcm) per month since the start of the year, while exports from Qatar have plummeted by nearly 80% (to 3.2 bcm in May 2026). Meanwhile, Australian exports (LNG only) have stabilised at around 8 bcm since the start of the year.

EUROPE REMAINS COMMITTED TO ITS CLIMATE TARGETS

In Europe, the situation is very different, even the opposite. Committed to a strategy aimed at reducing its greenhouse gas emissions, it is difficult for Europe to face the energy crisis by increasing hydrocarbon production, except perhaps on a temporary basis. Nevertheless, rising energy prices have increased pressure to boost European hydrocarbon production. For the time being, the common objective seems to be to maintain current production levels wherever possible. In Norway — a key supplier of gas to the EU and the UK — the reopening of offshore gas fields, announced last May, is expected, according to the Norwegian government, to enable production to be maintained at its 2025 level. In the UK, the new Burnham government is expected to extend the moratorium — reaffirmed last March — on any new exploration licences. Nevertheless, it could incentivise oil companies to increase production from existing oil fields and, in particular, authorise 'tiebacks', which are new wells connected to existing sites.

Rising US dominance in the oil market



SOURCE: JODI, IEA, BNP PARIBAS

The shift to coal appears to be minimal in Europe, despite European LNG prices having almost doubled since the end of February. In Germany, where coal accounted for 24% of the electricity mix in 2024 — the highest proportion in the EU after Poland — the official target remains the complete phase-out of coal by 2038 (any potential increase in its use is expected to be temporary). According to the IEA, in the European Union, the increase in renewable energy production compensated for the decline in electricity generation from gas between March and May 2026 (-3.5% year-on-year).

ELECTRIC VEHICLES: REBOUND IN EUROPE, CONTRACTION IN THE US

Since the onset of the energy crisis, fuel price rises have been more pronounced in the United States (+23% in June 2026 year-on-year) than in the European Union (+14%), due in particular to the lower level of fuel taxation in the United States.

1 Read part 1 of this editorial in our EcoWeek of 27 July 2026: Is the energy crisis accelerating the low-carbon transition? Part one: In emerging economies, yes.

Despite these rises, sales of electric vehicles — a key driver of the electrification of transport — have exhibited contrasting trends. Over the first five months of the year, sales of battery electric vehicles rose by over 31% year-on-year in Europe, while they fell by 25% in the United States[2]. Changes in government subsidies for electric mobility largely account for these changes, which will further widen the disparity in the market share of electric vehicles (as a percentage of new registrations). Consequently, the share of electric vehicles was 5.5% in May 2026 in the United States (7.5% for the whole of 2025) and 24% in Europe in May 2026 (20% in 2025).

In the United States, all federal incentives — primarily tax credit for purchases and grants for the installation of charging points — have been phased out since 2025. Only state-level incentives remain, which are insufficient to compensate for the end of federal support. In contrast, in the European Union and the United Kingdom, the scale of support measures, including purchase grants and tax rebates, has contributed to a resurgence in sales in the first half of 2026. Most of these measures were in place before the crisis and, for the time being, the crisis has resulted in only minor modifications, such as the extension of social leasing in France and increased support for the installation of charging points in the United Kingdom.

ELECTRIFICATION: HEIGHTENED EUROPEAN AMBITIONS

In June 2026, the European Union announced an ambitious programme aimed at accelerating the electrification of end-use sectors. The aim is to achieve an electrification rate of 46% by 2040, up from the current rate of 23%. This target is highly ambitious, as the rate has seen little progress for over a decade, despite the policies implemented. As a point of reference, the electrification rate stands at 22% in the United States and 30% in China. This European initiative specifically aims to:

1/ reduce the cost disparity for industry between electricity and fossil fuels, as electricity is still twice as expensive in 21 Member States due to taxes, network charges, and public subsidies that may favour fossil fuels[3];

2/ enhance electricity storage to increase the flexibility of renewable energy[4] by quadrupling capacity by 2030 to reach 200 GW;

3/ accelerate the electrification of corporate vehicle fleets;

4/ reform the carbon tax mechanism. Alongside this specifically European initiative, the European Union, together with other countries (including the United Kingdom), is spearheading the international 'Electrify Now' programme, which aims to accelerate the electrification of transport, industry and the building sector to achieve a target of 35% by 2035. This initiative will form part of the forthcoming COP 31 and COP 32 conferences.

DECARBONATION OF THE ELECTRICITY MIX: SOLAR PRIORITISED

In both Europe and the United States, the drive towards decarbonation appears to have gathered pace since March. Although imports of solar panels from China to the European Union and the United Kingdom decreased in 2025 (by 19% and 3% year-on-year respectively), they rose significantly between March and May 2026 (by 25% and 54% year-on-year respectively). The wind power sector is, by its very nature, less responsive in the short term given the lead times involved. Nevertheless, while Europe continues to set out ambitious targets such as a 50% increase in installed capacity by 2030, the current US administration has stated its opposition to the development of this sector. In 2025, the installed wind power capacity in Europe was 1.9 times greater than that of the United States.

In the United States, analysing trends in decarbonation is complicated by two main factors: the trade war with China and the rise in energy consumption driven by the development of artificial intelligence applications. In 2025, imports of solar panels from China to the United States increased by 26% and saw a remarkable surge of 178% year-on-year between March and May 2026, despite the introduction of 60% tariffs on these products in 2025 (which were previously set at 25% under the former administration). The rise in energy demand driven by the development of artificial intelligence appears to have mitigated the impact of the tariff increases. The proportion of electricity consumption attributed to data centres has grown by 63% since 2020, reaching 6.5% in 2025[5], which has resulted in sharp increases in electricity prices in some regions. According to the IEA, the growth of AI is responsible for 50% of the increase in electricity consumption. In the short term, due to considerable delays in the commissioning of gas-fired power stations caused by high demand, it is anticipated that most of the additional energy generation capacity will derive from a combination of solar power and stationary batteries, despite the rising costs affecting this sector[6].

Regardless of the national energy context, the rise in demand for low-carbon technologies — whether or not accelerated by the energy crisis — will benefit Chinese exports. Already the undisputed leader in solar panel production, China holds dominant positions across the entire electric battery value chain. This sector is expected to continue experiencing very strong growth in the coming years, both to power US data centres and to allow higher proportions of renewable energy in the European electricity mix.

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2 Jefferies, June 2026.

3 European Commission, 2026, *Electrification Action Plan*. The European Commission reports that subsidies for fossil fuels amounted to EUR 97 bn in 2024 (averaging EUR 60 bn between 2015 and 2019).

4 For further information on this topic, see our article "European Union: low carbon transition and energy sovereignty, a path fraught with obstacles".

5 Energy Institute, 2026, *Statistical Review of World Energy*.

6 Lazard, July 2026, *Levelised Cost of Energy+*.

ECONEWS

Find out more in our scenario and forecasts

ADVANCED ECONOMIES

EUROZONE

ECB on hold, September hike likely as activity holds up. The ECB kept its deposit rate at 2.25% on Thursday in a unanimous decision. The press conference was quite hawkish but several members who spoke later want to retain optionality. The ECB will have been reassured by the easing in the latest inflation expectations, whether from consumers (1-year inflation expectations fell to 3.0% in June from 3.5% in May while the 3-year gauge slipped to 2.8% from 2.9%; or professional forecasters (The Q3 2026 Survey projects Eurozone inflation at 2.7% for 2026, 2.2% for 2027, and 2.0% for 2028 and the longer term). Separately, Eurozone businesses do not expect a pickup in wage growth in 2026 or 2027, suggesting no second-round effects so far, a point emphasized by President Lagarde.

Activity surveys robust in July despite tighter financial conditions. The flash composite PMI improved to 51.9 (+1.9 pts), the highest since February, with new orders climbing at their fastest pace since April 2023. The manufacturing output index reached a four-and-a-half year high (53.0, +1.3 pts) while the services index rebounded in expansion territory to 51.6 (+2.2 pts). Output and input price indices eased again, but from a high level. Consumer confidence improved for the third month running in July (-15,9; +1.8 pts), according to EC's flash estimate. Meanwhile, credit standards (enterprises and households) continued to tighten in Q2 2026, albeit much less than expected. Further net tightening is expected in Q3.

France: Business climate recovering and inflation pressures easing in July. Flash PMIs broadly improved: composite to 49.6 (from 47.2 in June); services to 49.8 (from 46.8 in June); manufacturing deteriorated to 50 (51.2 in June), avoiding contraction territory. Meanwhile, INSEE business confidence beat expectations by rising to 97 (95 in June), a 4-month high, mainly driven by retail trade (99 in July, 91 in June), services (98 in July, 96 in June) and manufacturing sectors (101 in July, 100 in June). Weak sectors since March improved in July (retail, accommodation and catering, business services including temporary employment). Both surveys show lower inflation pressures, particularly in manufacturing and construction. **Business creations** decreased by 2.2% m/m in June (after +10.6% m/m in May) but still increased by 11.7% in H1 (+5% in 2026), mainly driven by AI-related sectors (information and communication, business services) and continue to far outpace insolvencies. The IMF concluded its annual review of France warning that its **budget deficit** will reach 5.2% of GDP in 2026, which is wider than the government's 5.0% target. Prime Minister Lecornu appears to agree, saying he is "not very optimistic" France will meet its 2026 budget goals.

Germany: Business activity unexpectedly expanded for the first time since March. S&P Composite PMI increased to 51.2 in July from 49.5 in June, unexpectedly rising above the 50 threshold. The boost was driven by manufacturing, which jumped to 52.2 — also its strongest reading in four months and marking six months of expansion. The services sector also improved, rising to 49.6 (+1). An Ifo Institute survey found US tariffs are negatively affecting nearly two-thirds of German industrial manufacturers. Almost 40% of firms said they have scrapped, delayed, or adjusted at least one investment project as a direct result of US trade policy.

The ZEW investors sentiment Index climbed to 26.3 points in July, up from 10.5 in June. This rise significantly outperformed market expectations of 18, reaching its highest level since February.

UNITED KINGDOM

Good surprises for the new Cabinet on activity, inflation, and jobs. Andy Burnham took office as new PM on Monday, with a Cabinet mixing Blairites — notably the Chancellor — and more left-leaning members. His priorities include cost of living, fiscal responsibility, devolution of power, and remedying the problems that emerged from the privatisation of utilities in the 1980s/90s. The flash composite PMI jumped to a three-month high of 52.1 in July (+2.8 pts m/m), significantly outperforming expectations. The rebound was supported by strong manufacturing output (53.6; +1 pt m/m) and a return to growth in services at 51.8 (+3 pts m/m). The manufacturing flash PMI also climbed to 52.8 (+0.3 pt m/m), with new orders hitting their highest reading since February 2022. Both sectors reported easing cost pressures. Inflation fell to a 15-month low in June: CPI rose 2.6% y/y, the lowest since March 2025. Retail sales volumes rose 1.0% in June, the fifth consecutive month of upside surprise. Unemployment held at 4.9% for the three months to May. Average weekly earnings for the three months to May rose by 4.3% y/y, with private-sector wage growth easing to +2.9, the lowest reading since October 2020. We expect the BoE to hold its policy rate at 3.75% this week.

UNITED STATES

Solid data makes Fed meeting a risk event. Weekly jobless claims fell far more than consensus expectations, to their lowest since 1969. At the same time, the S&P composite PMI rose strongly in July (53.6, +1.7 point), led by more robust activity in services (53.6, +2.4 pts), while the manufacturing index missed expectations but was broadly stable, close to 54. Given the continued rise in oil prices, and its inflation-fighting credibility at stake, there is a risk a majority of FOMC voters would support a rate hike this week, albeit our base case remains the Fed waits until after the mid-term elections to hike.

Tariff noise returns: The Trump administration announced new import duties of 10%-12.5%, effective from July 25, on goods from approximately 60 trading partners (86 if EU members are counted individually), citing inadequate protections against forced-labor. These tariffs will conveniently replace the universal 10% tariff under section 122 expired on 24/7 that the administration had put in place after the Supreme Court struck down most of the tariffs imposed in 2025. Food, energy and products subject to sector-specific duties are exempted. The resulting effective rate is little changed for most countries (and improves in absolute terms for Belgium and Italy, and in relative terms for most European countries). In addition, Canada is threatened with a 50% tariff on 5% of its exports to the US to take effect within 30 days, while a new 100% tariff on generic drug imports is set to become effective in August 2028, rising to 200% in August 2029, for manufacturers that do not relocate production to the US. President Trump also threatened additional tariffs on the EU in retaliation to recent "unethical" fines against US tech companies. He also announced plans to cut tariffs on raw aluminum imports to reduce input costs for the defence industry.

Find out more in our scenario and forecasts

JAPAN

Verbal support fails to stem yen depreciation. USD/JPY hit a fresh 40-year low of 163.99 despite renewed intervention warnings from the MoF and BoJ officials letting it be known that they are open to raising rates faster than consensus expects, as persistent yen weakness adds to upside inflation risks. Inflation rebounded to 1.7% y/y in June (+0.2 pp) as energy deflation eased on the back of government energy subsidies being scaled back. That said, core inflation slowed further to 1.6% (-0.1 pp), a near four-year low. Activity remained robust in July, on manufacturing strength. The composite PMI index edged higher (53.1, +0.3 pt), as manufacturing output hit its highest level since February 2014 (56.1, +1.8 pts), while services activity dipped (51.9, -0.3 pt). The BoJ is widely expected to hold its policy steady at its July 31 meeting, having raised the benchmark rate to 1% last month (our base case is for another hike in October).

EMERGING ECONOMIES

ASIA

China: Export controls on EU entities and a yellow card from the US. China added 14 European companies to its export control list, banning dual-use exports immediately, in retaliation for EU sanctions. The US Treasury's semi-annual FX report called out China for its "relative lack of transparency" around currency management, though it stopped short of labelling China a currency manipulator.

Indonesia: Bank Indonesia kept its policy rate unchanged at 5.75%. Although downward pressures on the rupiah remain strong (close to the threshold of IDR18000 per USD), the Central Bank argued that targeted measures to attract capital inflows and support the rupiah would be more effective than rate hikes. The unexpected resignation of Bank Indonesia's Governor Perry Warjiyo has heightened concerns over the central bank's independence and policy continuity, increasing uncertainty for investor confidence, the rupiah and Indonesian financial markets until a credible successor is appointed.

South Korea: Real GDP growth remained robust in Q2 at 3.7% y/y (after 3.8% in Q1). Exports continued to grow strongly and the boom in tech is spilling over to the rest of the economy.

EUROPE, MIDDLE EAST, AFRICA

Hungary: More monetary policy easing. As expected, the Central Bank lowered its policy rate by 25 bp to 5.75%. Year to date, the key rate has been cut by a cumulative 75 bp. Central Bank rhetoric suggests one more rate cut next month. Contained inflation (1.7% y/y in June) and the recent appreciation of the forint provide leeway to ease policy.

Türkiye: Monetary stand-by. The CBRT kept the policy rate unchanged at 37%, in line with market expectations. The interest rate corridor (lower bound 35.5%, upper bound 40.0%) was also left unchanged. Overall, despite acknowledging weaker activity, the MPC statement suggests greater concerns about inflation than growth, and the Committee does not appear ready to signal the start of an easing cycle.

South Africa: Inflation and Central Bank surprises. Inflation rose from 4.5% y/y in May to 5.0% in June, above consensus. Core inflation rose to 4.1%, a two-year high. Yet the Central Bank kept its policy rate at 7% on June 23, against a widely expected 25bp hike.

LATIN AMERICA

Argentina: Country risk rating upgrade tarnished by poor activity indicator. Moody's upgraded Argentina by one notch to B3 (from Caa1) with a positive outlook. All three major rating agencies now rate Argentina above the highly distressed category. Meanwhile, the monthly proxy indicator of real GDP contracted by 0.5% m/m in May for a second straight month. From a year ago, it grew only 0.2%, well below the 2.5% median estimate of economists surveyed by Bloomberg. Agriculture and mining led growth on an annual basis, while manufacturing and retail fell.

ENERGY

Oil prices remained flat w/w after a volatile week. Oil prices (Brent) breached the USD 100/b threshold last week, as Middle Eastern oil exports were again placed under severe constraints by geopolitical developments. Market pressure remains intensified by historically low US strategic and OECD commercial inventories. **The pause on strikes between US and Iran during the week-end entailed a sharp drop in prices on Monday** to 90 $/b at the opening.

European gas benchmarks too (TTF) have been volatile during the week. They reached their highest levels since January 2023 (EUR 64 MWh) last week before sharply falling on Monday. Short-term prospects for a recovery in Gulf LNG exports are deteriorating, while intensifying competition between European and Asian markets is driving price appreciation. Since mid-July, TTF and JKM (the Asian market benchmark) prices have risen by 10% and 29%, respectively (compared to Monday 27th prices).

MARKETS OVERVIEW

Bond Markets

	in %	in bps			
	24/07/2026	1-Week	1-Month	Year to date	1-Year
Bund 2Y	2.82	+10.0	+26.8	+73.1	+91.4
Bund 5Y	2.91	+9.8	+29.7	+44.7	+69.0
Bund 10Y	3.15	+7.2	+27.4	+28.3	+49.0
OAT 10Y	3.88	+12.2	+37.4	+38.5	+51.9
BTP 10Y	3.96	+13.5	+35.9	+46.5	+40.9
BONO 10Y	3.59	+7.5	+30.0	+34.6	+35.4
Treasuries 2Y	4.33	+5.4	+18.7	+84.9	+38.8
Treasuries 5Y	4.44	+6.5	+25.2	+71.0	+47.3
Treasuries 10Y	4.68	-1.2	+28.1	+51.7	+3.2
Gilt 2Y	4.43	+6.1	+30.1	+67.6	+55.8
Treasuries 5Y	4.60	+7.4	+34.5	+75.3	+56.4
Gilt 10Y	5.11	-3.9	+42.3	+47.6	+17.2

Currencies & Commodities

	Level	Change, %			
	24/07/2026	1-Week	1-Month	Year to date	1-Year
EUR/USD	1.14	-0.2	+0.3	-3.1	-3.3
GBP/USD	1.33	-0.4	+1.4	-0.9	-1.6
USD/JPY	163.75	+0.8	+1.2	+4.5	+11.5
DXY	101.47	+0.2	-0.1	+3.2	+1.2
EUR/GBP	0.85	+0.1	-1.0	-2.2	-1.7
EUR/CHF	0.93	+0.4	+0.8	-0.0	-0.6
EUR/JPY	186.33	+0.6	+1.5	+1.2	+7.9
Oil, Brent ($/bbl)	96.86	+16.3	+31.2	+59.2	+39.9
Gold ($/ounce)	4076	+1.5	+1.9	-5.8	+20.9

Equity Indices

	Level	Change, %			
	24/07/2026	1-Week	1-Month	Year to date	1-Year
World					
MSCI World ($)	4789	-1.0	+0.9	+8.1	+16.1
North America					
S&P500	7412	-1.4	+0.7	+8.3	+16.5
Dow Jones	51947	-1.1	+0.2	+8.1	+16.2
Nasdaq composite	24976	-3.5	-2.0	+7.5	+18.6
Europe					
CAC 40	8372	+0.1	-0.2	+2.7	+7.1
DAX 30	25099	-0.1	+1.4	+2.5	+3.3
EuroStoxx50	6281	+0.2	+1.1	+8.5	+17.3
FTSE100	10736	+2.3	+2.6	+8.1	+17.5
Asia					
MSCI, loc.	1929	+0.0	+0.7	+14.2	+25.3
Nikkei 225	64611	-3.9	-6.6	+28.4	+54.5
Emerging					
MSCI Emerging ($)	1628	-1.3	-5.9	+15.8	+28.5
China	73	+0.9	+2.6	-12.1	-10.0
India	925	-2.6	-2.9	-12.7	-12.6
Brazil	1854	+1.2	+6.3	+12.6	+32.6

Performance by sector

Eurostoxx600

Year 2026 to 24-7, €

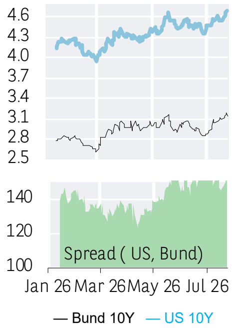
+31.6%	Oil & Gas
+17.3%	Banks
+16.9%	Commodities
+16.7%	Technology
+15.5%	Utilities
+13.1%	Chemical
+9.1%	Industry
+8.8%	**Eurostoxx600**
+7.5%	Telecoms
+6.7%	Financial services
+6.6%	Insurance
+4.9%	Food industry
+2.7%	Real Estate
+0.7%	Health
+0.1%	Retail
-1.9%	Travel & leisure
-2.8%	Construction
-5.8%	Media
-9.0%	Consumption Goods

S&P500

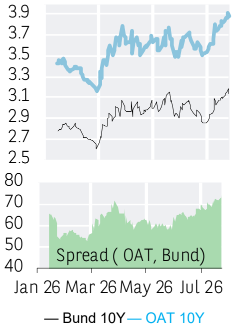
Year 2026 to 24-7, $

+33.6%	Semiconductors
+33.0%	Energy
+33.0%	Tech. Hardware & Equip.
+21.4%	Capital Goods
+12.1%	Food, Beverage & Tobacco
+11.1%	Materials
+10.8%	Pharmaceuticals
+9.4%	Bank
+8.4%	Utilities
+8.3%	**S&P500**
+6.6%	Insurance
+4.3%	Retail
-0.7%	Consumer Discretionary
-2.6%	Telecoms
-4.4%	Media
-4.6%	Healthcare
-4.8%	Consumer Services
-6.2%	Commercial & Pro. Services
-27.1%	Automobiles
-30.4%	Real Estate

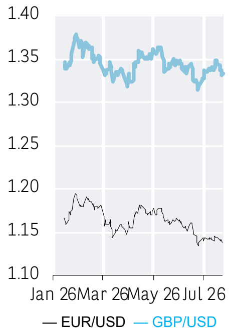
Bund 10Y & US Treas. 10Y



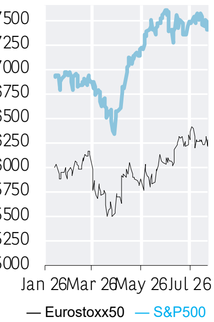
Bund 10Y & OAT 10Y



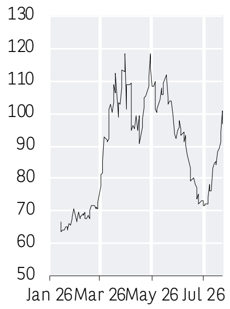
EUR/USD & GBP/USD



EUROSTOXX 50 & S&P500

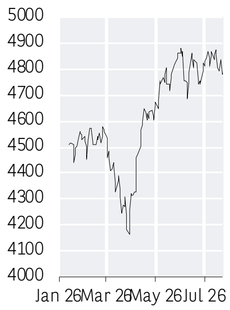


Oil, Brent ($/bbl)



Gold ($/ounce)

MSCI World ($)



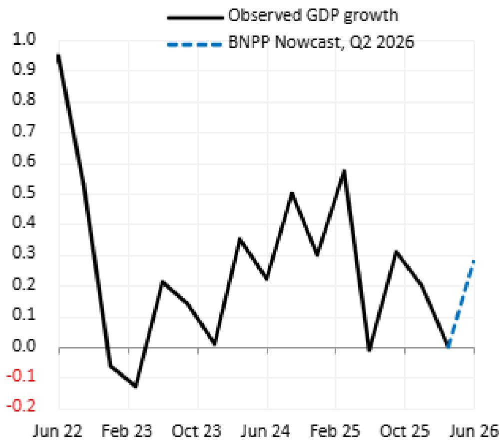
MSCI Emerging ($)

SOURCE: LSEG, BLOOMBERG, BNP PARIBAS
DATA VISUALISATION AND CARTOGRAPHY: TARIK RHARRAB

The scenario, forecasts and nowcasts of the Economic Research – 27 July 2026

NOWCASTS OF THE ECONOMIC RESEARCH

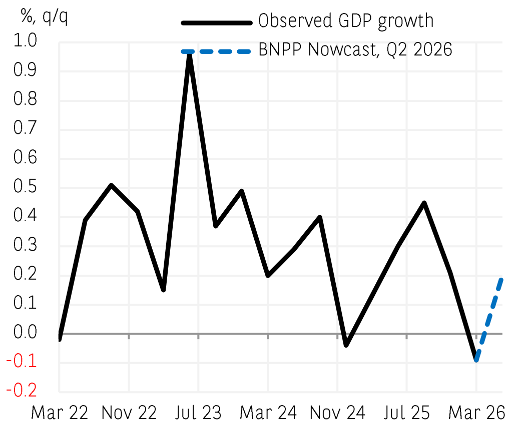
Eurozone



Source: Refinitiv, BNP Paribas

Our *nowcast* for Eurozone growth has been revised higher on the back of the improvement in the PMI data in June and lower Brent prices. It is now pointing to a 0.3% q/q GDP growth in Q2.

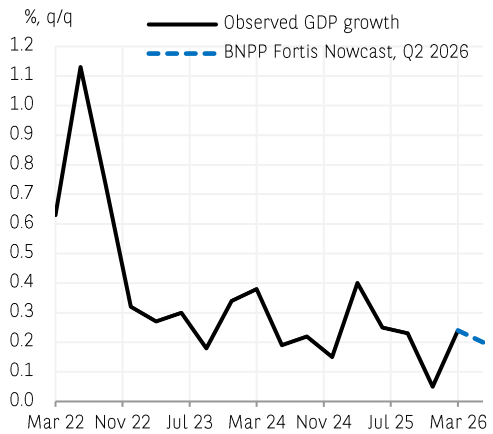
France



Source: Refinitiv, BNP Paribas

Our *nowcast* for French GDP growth suggests a recovery in Q2 2026, at +0.2% q/q, driven by the one-off factors that weighed on Q1 GDP (aeronautics exports and construction output).

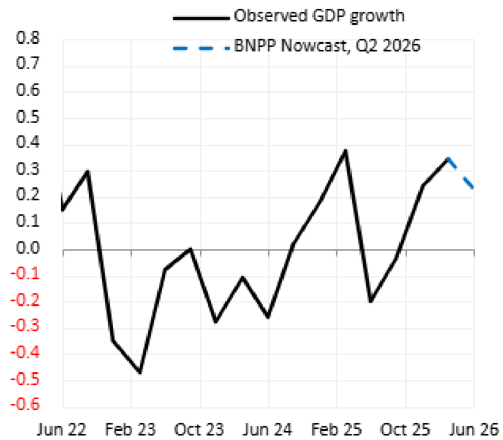
Belgium



Source: Refinitiv, BNP Paribas

Our *nowcast* for Q2 Belgium GDP growth suggests a stable growth in Q2 (0.2% q/q, a performance already observed in Q1). The transactions data suggests again a quite favorable performance in Q2, while uncertainty on the pass-through of energy inflation to other sectors implies a downside risk to the *nowcast*

Germany



Our Germany nowcast indicates that growth reached 0.2% q/q in the second quarter, marking a third consecutive quarter of growth (+0.2% q/q in Q4, +0.3% in Q1) – a performance not seen since 2022. Public spending (defense and infrastructure) is driving a recovery of industrial and construction activity.

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Read the [Nowcast methodology]
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ECONOMIC SCENARIO AND FORECASTS

GDP growth and Inflation

%	GDP Growth 2024	GDP Growth 2025	GDP Growth 2026 e	GDP Growth 2027 e	Inflation 2024	Inflation 2025	Inflation 2026 e	Inflation 2027 e
United States	2.8	2.1	2.4	2.5	2.9	2.7	3.2	2.5
Japan	-0.2	1.1	0.8	1.1	2.7	3.1	2.0	2.3
United Kingdom	1.0	1.4	1.0	1.2	2.5	3.4	3.2	3.1
Euro Area	0.9	1.5	0.8	1.6	2.4	2.1	2.7	2.6
Germany	-0.5	0.3	0.8	1.1	2.5	2.3	2.3	2.4
France	1.1	0.9	0.8	1.1	2.3	0.9	2.2	1.6
Italy	0.6	0.7	0.8	0.8	1.1	1.7	2.4	1.7
Spain	3.5	2.8	2.3	2.2	2.8	2.7	3.5	3.2
China	5.0	5.0	4.6	4.5	0.2	0.0	1.3	1.6
India*	7.1	7.7	3.7	6.8	4.6	2.1	5.1	4.3
Brazil	3.4	2.3	2.3	1.4	4.4	5.0	4.7	5.1

Source : BNP Paribas (e: Estimates & forecasts)
Last update: 24/07/2026
* Fiscal year from April 1 of year N to March 31 of year N+1

Interest and exchange rates

Interest rates, %		2026				2027
End of period		Spot 20/07	Q2	Q3	Q4	Q4
US	Fed Funds (upper limit)	3.75	3.75	3.75	4.00	4.50
	T-Note 10y	4.37	4.55	4.65	4.75	4.85
Eurozone	deposit rate	2.25	2.25	2.50	2.50	2.50
	Bund 10y	3.09	3.15	3.20	3.35	3.10
	OAT 10y	3.82	3.77	4.00	4.17	3.60
	BTP 10y	3.90	3.85	3.95	4.10	3.60
	BONO 10y	3.54	3.57	3.64	3.79	3.42
UK	Base rate	3.75	3.75	4.00	4.00	3.50
	Gilts 10y	5.03	4.70	4.60	4.50	4.30
Japan	BoJ Rate	0.75	1.00	1.00	1.25	2.00
	JGB 10y	2.68	2.70	2.85	2.85	3.10

Exchange Rates		2026				2027
End of period		Spot 20/07	Q2	Q3	Q4	Q4
USD	EUR / USD	1.14	-	1.15	1.16	1.20
	USD / JPY	164	-	163	165	165
	GBP / USD	1.33	-	1.32	1.32	1.36
EUR	EUR / GBP	0.85	-	0.87	0.88	0.88
	EUR / JPY	186	-	187	191	198

Brent		2026				2027
Quarter Average		Spot 20/07	Q2	Q3	Q4	Q4
Brent	USD/bbl	101	89	72	78	79

Sources: BNP Paribas (Market Economics, Interest Rate Strategy, FX Strategy, Commodities Desk Strategy), Last update: 24/07/2026

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UNITED STATES

The US economy is expected to grow above its potential in 2026, with an average annual growth rate of 2.4%, a yearly improvement (up from 2.1% in 2025). This apparent resilience to energy, uncertainty and tariff and energy shocks, together with above-trend productivity growth, masks K-shaped growth, driven by investment linked to AI-optimism and consumption by the wealthiest amid a wealth effect (historically high stock market valuations). Inflation overshooting is set to continue (3.2% in 2026) at least through 2028, largely because of the rise in oil prices and tariffs – although the impact of these appears to be less significant than expected. The labour market is showing clear signs of improvement that should bring the unemployment rate down toward 4.0%. Given this shift in price and employment risks amid dynamic growth, we expect the FOMC to start a cycle of three rate hikes (+25pb each) before the end of 2026, bringing the Fed Funds target range at 4,25% - 4,50% in Q1 2027.

CHINA

Economic growth slowed to 4.3% y/y in Q2 2026 vs. 5.0% in Q1. It is projected to reach 4.6% in 2026 as a whole, down from 5% in 2025. Growth remains characterized by a K-shaped trajectory, and the gap between the strong performance of exports and the fragility of sectors that rely on domestic demand has even widened this year. Domestic demand rebounded in the first two months of 2026 but has weakened significantly since March. The crisis in the property sector continues and household confidence remains low. Fiscal and monetary policy measures aimed at supporting economic growth are expected to continue but remain modest. CPI inflation has rebounded slightly since March, mostly due to the rise in global energy prices, as well as due to the increase in electronic good prices and anti-involution measures implemented by the authorities. Deflationary pressures persist, however, given weakness in domestic demand.

EUROZONE

Eurozone growth would slow in 2026 due to spillovers from the Middle East conflict. In Q1 2026, GDP was stable mainly due to the volatility of Ireland's GDP data. In 2026, consumption would be held back by falling real wages. GDP growth, which reached 1.5% in 2025, would slow down to 0.8% in 2026, before picking up at 1.6% in 2027. Activity would nevertheless withstand the energy shock, supported by investment in defence, AI, and electrification, which should continue to boost intra-EU trade. Inflation would rebound to 2.7% in 2026 (compared to 2.1% in 2025) on the back of the energy shock and plateaued at 2.6% in 2027. As inflation rebounds, we continue to expect one further 25-basis-point hikes in the ECB's policy rate in Q3 2026– pushing the deposit facility rate to 2.5%.

FRANCE

GDP growth deteriorated to -0.1% q/q in Q1 (after 0.2% q/q in Q4) as a result of one-off factors, including low aeronautics exports (-20% q/q despite an increase of the output) and construction output (-1.5% q/q). From Q2 2026, growth should be affected by the impact of higher oil prices on inflation (2.4% in 2026, after 1% in 2025) and household purchasing power (with a likely impact on their consumption). In 2026, GDP growth should reach 0.8% in 2026 (after 0.9% in 2025), driven by public spending and private investment in AI. Higher inflation (2.2% in 2026, after 1% in 2025) would weigh on GDP growth.

UNITED KINGDOM

Economic activity is expected to slow in 2026, with growth decelerating to 1% from 1.3% in 2025; following +0.4% q/q in Q1 and -0.1% m/m in April, growth increased by +0.1% m/m in May, bringing the average quarterly pace for the remainder of the year down to approximately +0.1%. This slowdown is set against a backdrop of renewed inflationary pressures triggered by the war in Iran: inflation is projected to reach 3.2% y/y, and to remain sticky and well above BoE's target at +3.1% in 2027. In this context, and contrary to the initially envisaged easing scenario, monetary policy would shift toward a 25bp rate hike in H2 2026. 10y gilt yields will remain elevated in 2026, before falling to 4.30% in 2027 on reduced net supply, a decline in political risk premia and a market starting to eye BoE rate cuts.

JAPAN

We expect annual GDP growth to stand at 0.8% in 2026, down from 1.1% in 2025. Higher inflation and production costs associated with the energy shock are expected to weigh on the economy's overall performance. On the other hand, the latter is supported by fiscal policy and AI-related investment. Inflation has generally overshot the 2% y/y target since 2022. Accordingly, the Bank of Japan initiated a cautious process of "adjustment in the degree of monetary accommodation" in 2024, lifting the policy rate to 1.0% so far (previously negative) – the highest since 1995. We expect a 25pb hike about every four to five months until a 2.50% terminal rate in 2028. Japan is facing long-term rates pressure, illustrated by historically high 10- and 30-year yields, probably fueled by the level of public debt and the pace of monetary adjustment.

EXCHANGE RATES

In our base-case scenario (gradual normalisation of the Middle East situation with persistent price tensions), we expect the USD depreciation against the EUR to resume, albeit very gradually, amid broader diversification away from the dollar. We forecast EUR/USD to reach 1.16 by Q4 2026 and 1.20 by Q4 2027. We anticipate a depreciation of the yen and the GBP against the dollar in 2026 (USD/JPY 165 and GBP/USD 1.32 by Q4 2026) and 2027.

ECOPERSPECTIVES

July 2026

Emerging Economies:
So far weathering the energy shock well

By Emerging Economies Team

ECONOMIC RESEARCH by BNP PARIBAS

Emerging economies have so far shown resilience in the face of the energy crisis

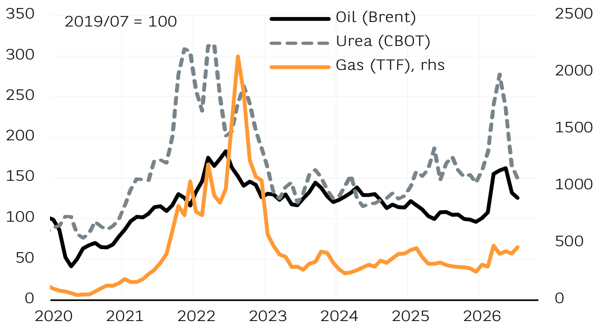
- Emerging economies have so far withstood the energy shock caused by the conflict in the Middle East better than expected.
- The surge in oil, gas and energy-related input prices was rapid, but less inflationary than in 2022.
- While monetary policy easing cycles have been interrupted in many countries, most central banks have been able to keep their policy rates unchanged since last February.
- Emerging financial markets have not faced a widespread loss of confidence, while macroeconomic buffers are stronger than in the summer of 2022, helping to absorb the rise in energy costs.
- In Asia, the region most dependent on hydrocarbons from Gulf countries, the authorities have acted swiftly to limit the risks of shortages by diversifying supply sources, mobilizing reserves and adjusting demand.
- Most importantly, Asian countries that export tech goods have benefited significantly from the rise in artificial intelligence. Investment in AI infrastructure and global demand for chips and other electronic goods have bolstered economic growth and the external accounts of several emerging economies, sometimes offsetting the negative impact of the energy shock.
- In the short term, the average growth rate of emerging economies is expected to slow only moderately. In our baseline scenario, we project an average real GDP growth of just under 4% in 2026, after 4.5% in 2025.
- However, risks remain high, including persistent inflation, expected hikes in US Fed rates, geopolitical tensions, volatility in commodity prices and the risk of a correction in the tech cycle.

For more information, please refer to our publication:

EcoPerspectives - Emerging Economies | 3rd quarter of 2026, as of July 13, 2026– Economic Research – BNP Paribas

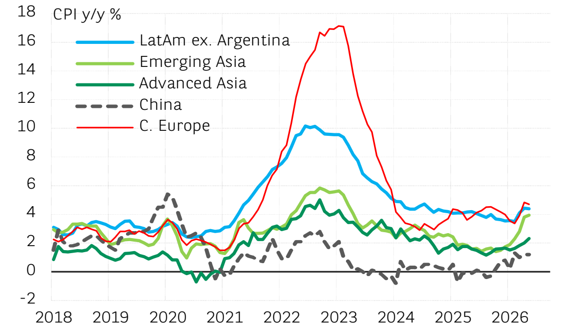
Emerging economies: Manageable consequences of the energy shock

Energy prices eased in June, but the oil shock is not over



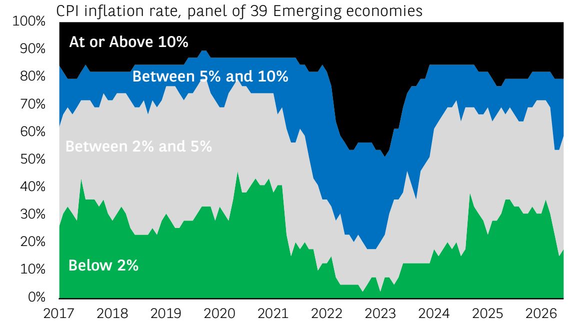
Source: Bloomberg, BNP Paribas

Inflation pressures have increased …



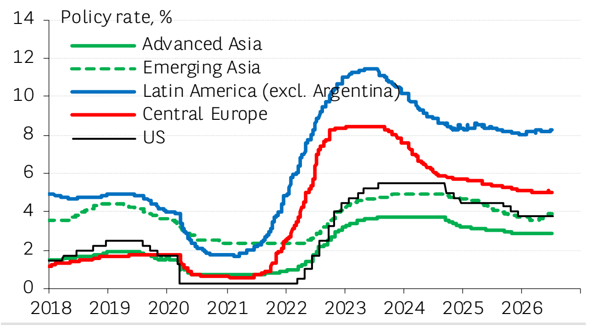
Source: Central banks, Macrobond, BNP Paribas

… but are still moderate



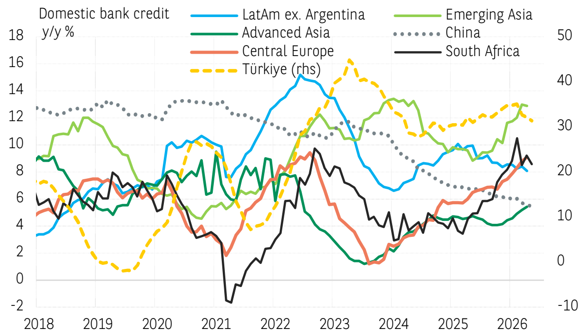
Source: Central banks, Macrobond, BNP Paribas

Monetary tightening is not widespread so far



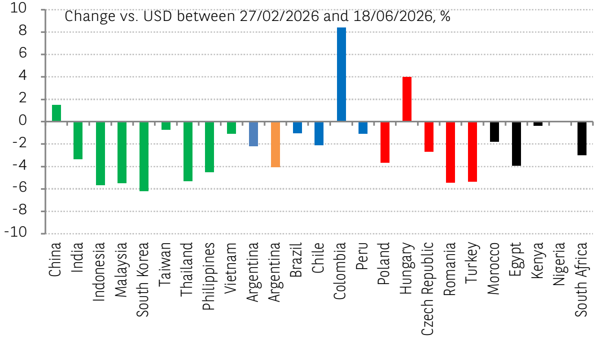
Source: Central banks, Macrobond, BNP Paribas

Bank credit growth still accelerating in Asia (excl. China) and Central Europe, slowing in Latam and Türkiye



Source: Central banks, BNP Paribas

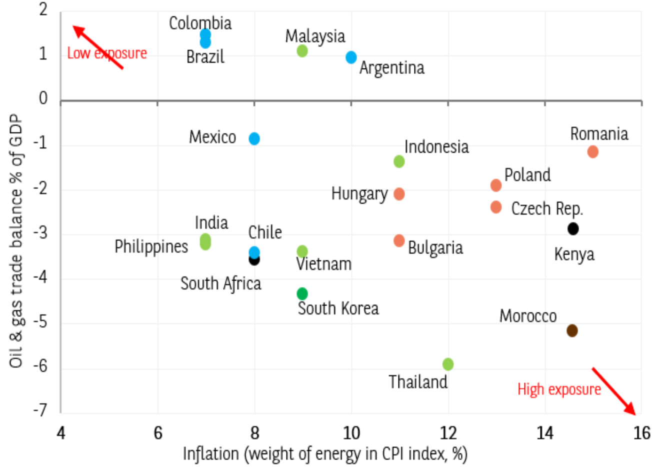
EM currency depreciations remained manageable during the first phase of the war in Iran



Source: Macrobond, BNP Paribas

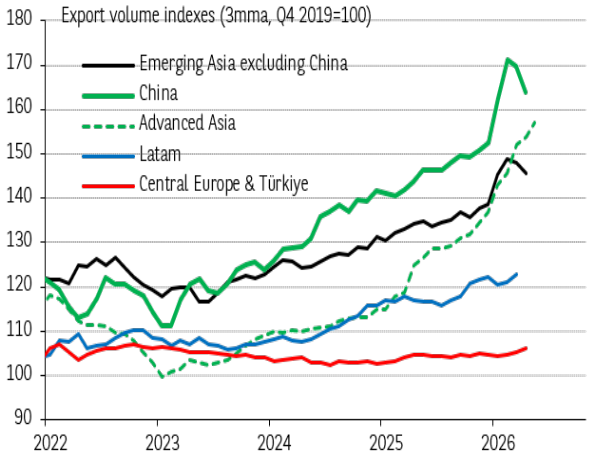
Emerging economies: Manageable consequences of the energy shock

The Asian region is highly exposed to the energy shock



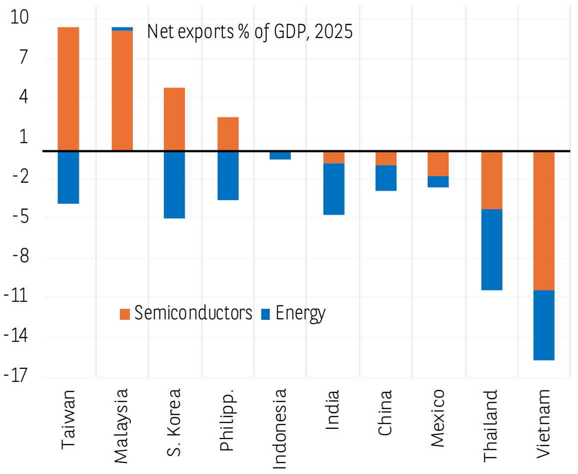
Source: ITC, national stat. offices., BNP Paribas

Producers of tech goods enjoy strong export growth



Source: CBP, Macrobond, BNP Paribas

The impact on trade and current account balances depends on the country's position in the value chain



Source: ITC, IMF, BNP Paribas

-Emerging Asia: light green (India, Indonesia, Malaysia, Philippines, Thailand, Vietnam)
-Advanced Asia: dark green (HK, Singapore, South Korea, Taiwan)
-Central Europe (orange): Bulgaria, Czech Rep., Hungary, Poland, Romania, Slovakia
-Latin America (blue): Argentina, Brazil, Chile, Colombia, Mexico, Peru
-Middle East & Africa (black)

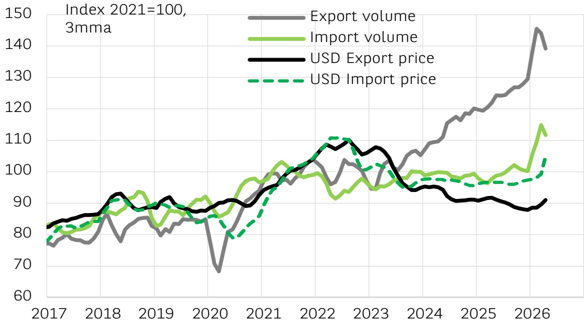
Asia – China & South Korea: Activity supported by the rise in global demand for AI goods

China: Economic growth projected to slow moderately in 2026-2027, inflation to recover slightly

	2022	2023	2024	2025	2026e	2027e
Real GDP growth, %	3.1	5.4	5.0	5.0	4.6	4.5
Inflation, CPI, year average, %	2.0	0.2	0.2	0.0	1.3	1.6
Official budget balance / GDP, %	-2.7	-3.8	-3.0	-4.0	-4.0	-4.0
Official general government debt / GDP, %	49.4	54.7	60.9	68.5	74.6	77.5
Current account balance / GDP, %	2.2	1.4	2.5	3.8	3.5	3.4
External debt / GDP, %	13.4	13.4	12.5	11.9	11.7	11.4
Forex reserves, USD bn	3 307	3 450	3 456	3 744	3 844	3 924
Forex reserves, in months of imports	12.5	13.0	12.5	13.6	13.4	13.2

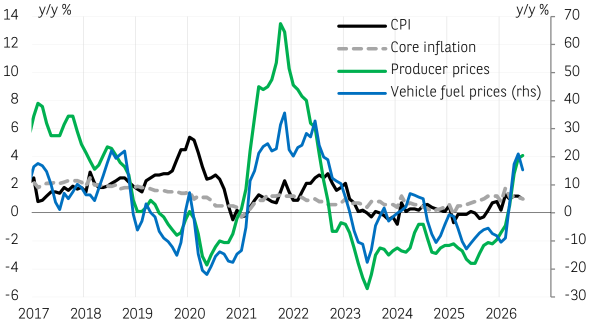
Source: BNP Paribas

China: External trade impacted by energy shock and global surge in AI investment



Source: CPB, BNP Paribas

China: Higher CPI inflation mostly due to increase in commodity prices



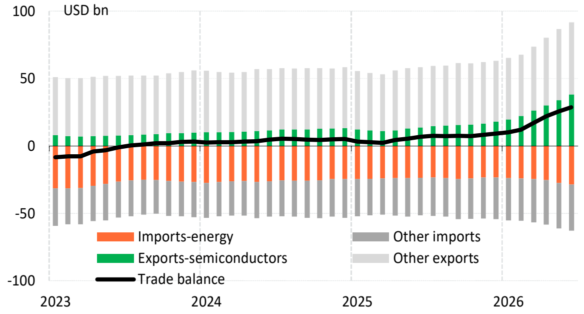
Source: NBS, BNP Paribas

South Korea: Solid economic growth thanks to semiconductors

	2022	2023	2024	2025	2026e	2027e
Real GDP growth, %	2.6	1.4	2.0	1.0	3.1	2.2
Inflation, CPI, year average, %	5.1	3.6	2.3	2.0	2.6	2.3
Central gov. balance / GDP, %	-5.0	-3.6	-4.1	-4.5	-4.8	-4.5
Gen. Gov. debt / GDP, % (EU standards)	46.2	48.8	50.6	52.5	54.2	56.1
Current account balance / GDP, %	1.4	1.8	5.3	6.6	8.2	7.4
External debt / GDP, %	38.6	39.5	37.5	40.5	37.4	34.0
Forex reserves, USD bn	418.3	415.3	410.8	423.0	412.7	418.0
Forex reserves, in months of imports	7.8	6.2	6.6	6.5	6.7	6.2

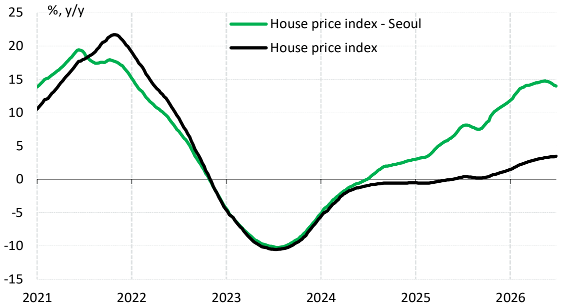
Source: BNP Paribas

South Korea: The rise in tech exports has offset the rise in energy imports



Source: Korea customs Service, BNP Paribas

South Korea: Real estate market remains tight in Seoul



Source: BOK, BNP Paribas

Asia – India & Indonesia: Inflation still limited but deteriorating external accounts

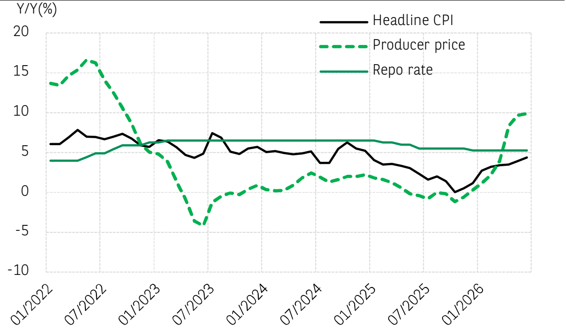
India: Economic growth projected to decelerate while inflationary risks have increased

	2022	2023	2024	2025	2026e	2027e
Real GDP growth, % (1)	7.6	7.2	7.1	7.7	6.7	6.8
Inflation, CPI, year average, % (1)	6.7	5.4	4.6	2.1	5.1	4.3
General gov. balance / GDP, % (1)	-9.1	-8.3	-8.1	-7.4	-7.6	-7.5
General gov. debt / GDP, % (1)	85.3	85.4	84.3	84.4	83.3	82.6
Current account balance / GDP, % (1)	-2.0	-0.7	-0.6	-0.7	-1.9	-1.6
External debt / GDP, % (1)	18.6	16.8	19.8	20.1	20.0	19.8
Forex reserves (excl. gold), USD bn	498	552	552	560	536	545
Forex reserves, in months of imports	6.7	7.5	6.8	6.7	6.2	6.3

(1) Fiscal year from April 1st of year N to March 31st of year N+1

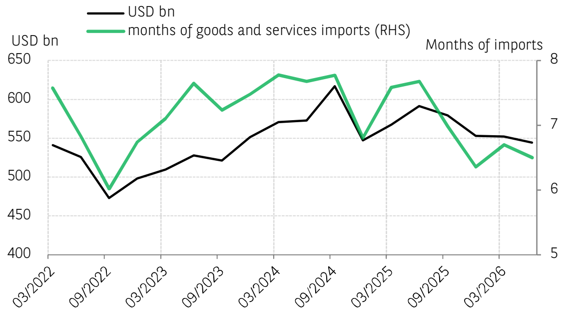
Source: BNP Paribas

India: Inflation still below 2022 level



Source: RBI, BNP Paribas

India: FX reserves still comfortable



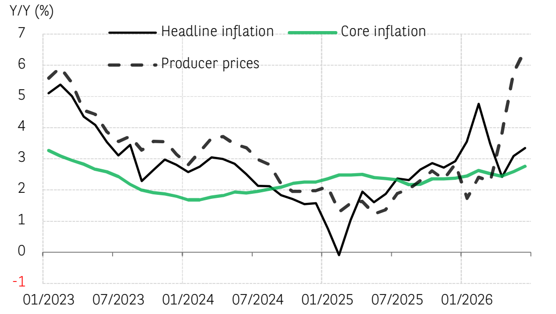
Source: RBI, BNP Paribas

Indonesia: Solid economic growth but rising risk of fiscal deficit slippage

	2022	2023	2024	2025	2026e	2027e
Real GDP growth (%)	5.3	5.0	5.0	5.1	5.0	5.2
Inflation (CPI, year average, %)	4.1	3.7	2.3	1.9	3.5	3.2
Gen. Gov. balance / GDP (%)	-2.4	-1.7	-2.3	-2.9	-3.0	-3.0
Gen. Gov. debt / GDP (%)	39.7	39.2	39.4	40.5	40.6	40.9
Current account balance / GDP (%)	1.1	-0.2	-0.6	-0.1	-1.2	-0.7
External debt / GDP (%)	30.1	29.8	29.6	29.9	30.0	30.1
Forex reserves (USD bn)	124	133	140	135	123	130
Forex reserves, in months of imports	5.5	6.0	6.1	5.6	5.0	5.3

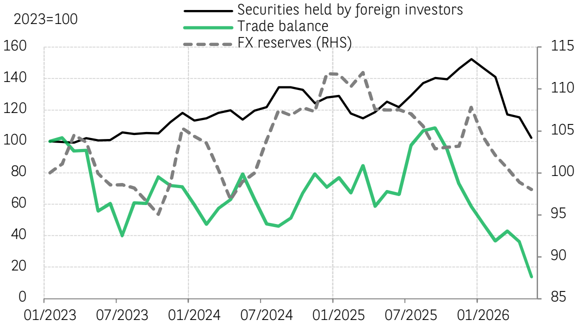
Source: BNP Paribas

Indonesia: Inflationary pressures are limited so far



Source: BI, BNP Paribas

Indonesia: External accounts have deteriorated



Source: BI, BNP Paribas

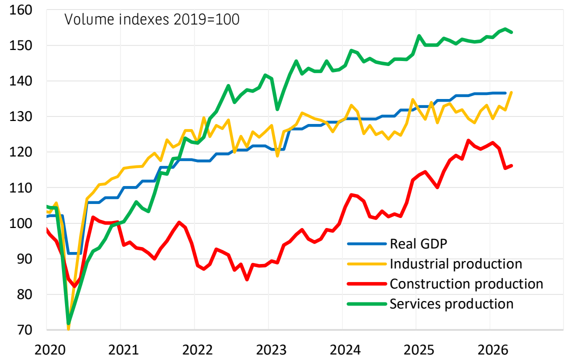
Emerging Europe – Türkiye: Coping with headwinds once again

Türkiye: The growth slowdown will help limit inflation and external account imbalances

	2022	2023	2024	2025	2026e	2027e
Real GDP growth, %	5.4	5.0	3.3	3.6	3.1	3.5
Inflation, CPI, year average, %	72.3	53.9	58.5	34.9	30.7	23.8
Central gov. balance / GDP, %	-0.9	-5.1	-4.7	-2.9	-3.8	-3.5
Gen. Gov. debt / GDP, % (EU standards)	26.3	24.9	20.8	21.7	22.4	23.3
Current account balance / GDP, %	-5.0	-3.7	-1.0	-1.9	-2.2	-2.2
External debt / GDP, %	41.9	37.9	33.9	35.7	35.2	35.6
Forex reserves, USD bn	82.9	92.7	90.9	77.0	89.8	98.3
Forex reserves, in months of imports	2.6	2.9	3.0	2.3	2.5	2.6

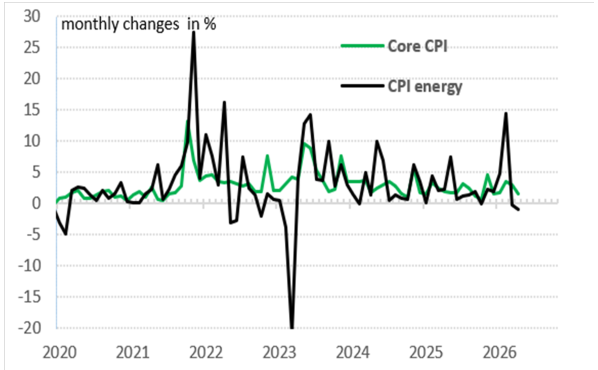
Source: BNP Paribas

Türkiye: Activity has decelerated



Source: TurkStat

Türkiye: Inflation pressures remain moderate



Source: TurkStat, BNP Paribas

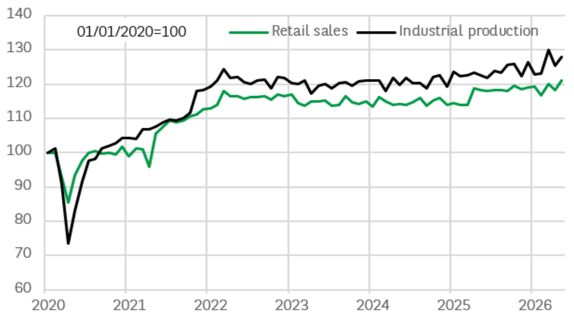
Emerging Europe – Poland & Romania: Uneven growth, fiscal consolidation is a priority

Poland: Robust growth, contained inflation but elevated fiscal deficit

	2022	2023	2024	2025e	2026e	2027e
Real GDP growth, %	5.6	0.2	3.1	3.6	3.7	3.2
Inflation, CPI, year average, %	14.4	11.4	3.8	3.8	3.0	2.7
Gen. Gov. balance / GDP, %	-3.4	-5.2	-6.4	-7.3	-6.6	-5.8
Gen. Gov. debt / GDP, %	48.8	49.5	54.8	59.7	61.6	63.9
Current account balance / GDP, %	-2.3	1.5	0.3	-0.9	-1.6	-1.5
External debt / GDP, %	53.3	49.8	51.6	50.2	47.1	44.2
Forex reserves, EUR bn	156.5	175.4	214.2	231.0	262.0	275.0
Forex reserves, in months of imports	5.2	6.1	7.3	7.4	8.1	8.1

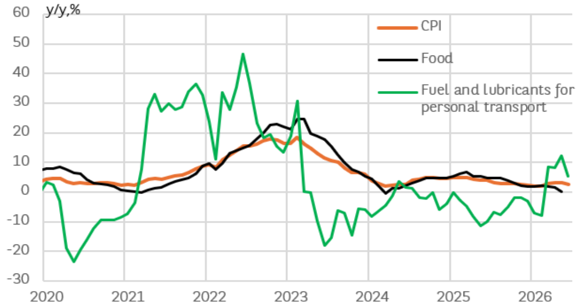
Source: BNP Paribas

Poland: Economic activity is holding up well



Source: Eurostat, BNP Paribas

Poland: Inflation is contained



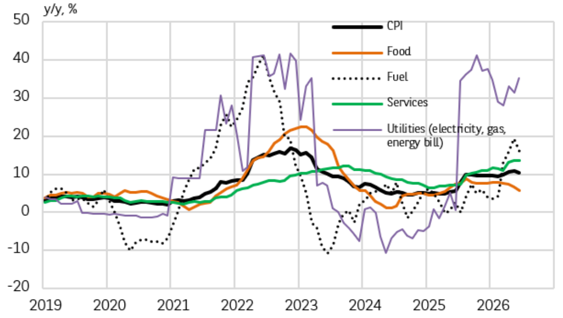
Source: Statistics Poland, BNP Paribas

Romania: Soft patch with persistent twin deficits

	2022	2023	2024	2025	2026e	2027e
Real GDP growth, %	4.2	2.3	0.9	0.7	0.1	2.6
Inflation, CPI, year average, %	13.7	10.5	5.6	7.3	7.9	4.6
General gov. balance / GDP (%)	-6.5	-6.6	-9.3	-7.9	-6.5	-5.7
General gov. debt / GDP (%)	48.1	49.3	54.8	59.3	61.5	63.0
Current account balance / GDP, %	-9.6	-6.7	-8.2	-7.9	-8.0	-7.5
External debt / GDP, %	54.7	56.9	57.5	60.2	62.1	64.9
Forex reserves, EUR bn	52.3	66.0	70.5	77.0	85.0	92.0
Forex reserves, in months of imports	5.3	6.9	7.1	7.5	8.0	8.2

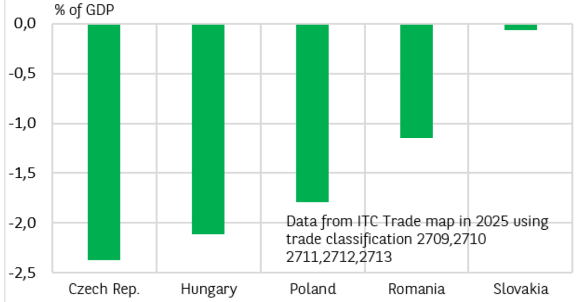
Source: BNP Paribas

Romania: Inflation is driven by energy and services



Source: National Institute of Statistics, BNPParibas

Romania: A moderate energy trade deficit



Source: ITC, BNP Paribas

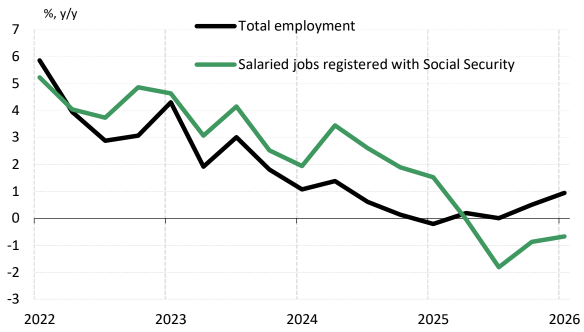
Latin America – Mexico: USMCA uncertainty impacts investment prospects

Mexico: Economic growth still sluggish

	2022	2023	2024	2025	2026e	2027e
Real GDP growth, %	3.9	3.2	1.5	0.5	1.1	2.0
Inflation, CPI, year average, %	7.9	5.6	4.2	3.8	4.0	3.7
Budget balance / GDP, %	-4.3	-3.3	-5.1	-3.9	-3.8	-3.8
Public debt / GDP, %	46.9	46.5	49.1	51.5	53.1	54.0
Current account balance / GDP, %	-1.2	-0.3	-0.9	-0.4	-0.6	-0.5
External debt / GDP, %	41.9	33.3	31.0	32.0	33.0	33.1
Forex reserves, USD bn	194.0	207.0	221.0	239.0	245.0	258.0
Forex reserves, in months of imports	4.8	4.1	4.3	4.5	4.2	4.1

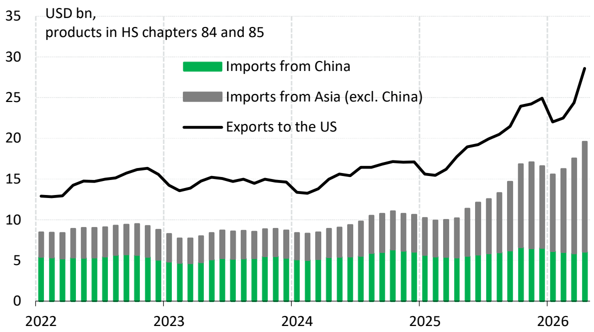
Source: BNP Paribas

Mexico: Informal employment impacts consumption



Source: INEGI, ENOE, BNP Paribas

Mexico: Regionalisation of trade but not of supplies



Source: Comtrade, BNP Paribas

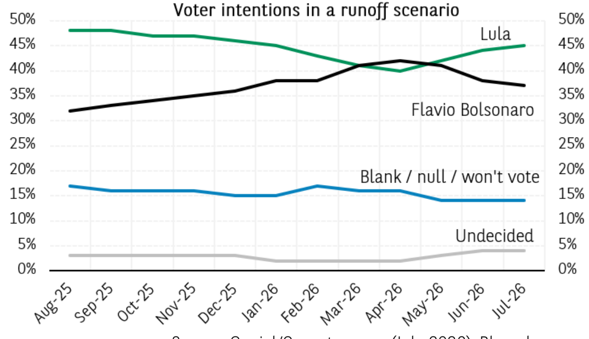
Latin America – Brazil & Colombia: Oil bonanza fails to prevent fiscal deterioration

Brazil: Resilient growth meets sticky inflation and fiscal strain

	2022	2023	2024	2025e	2026e	2027e
Real GDP growth, %	3.1	3.2	3.6	2.3	2.3	1.4
Inflation, CPI, year average, %	9.3	4.6	4.4	5.0	4.7	5.1
Public sector fiscal balance / GDP, %	-4.6	-8.8	-8.5	-8.3	-8.8	-8.6
Gross public debt / GDP, %	72	74	77	79	82	86
Current account balance / GDP, %	-2.9	-1.2	-3.0	-2.9	-2.3	-2.5
External debt / GDP, %	35	33	33	35	36	33
Forex reserves, USD bn	324	355	329	358	365	362
Forex reserves, in months of imports	11	13	10	11	11	12

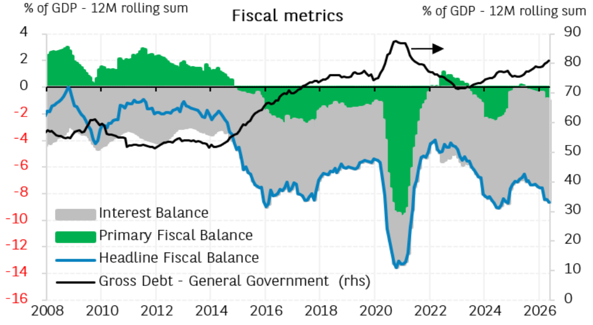
Source: BNP Paribas

Brazil: Lula widens lead over Flavio Bolsonaro



Source: Genial/Quaest survey (July 2026), Bloomberg

Brazil's public debt ratio: an upward trend difficult to curb



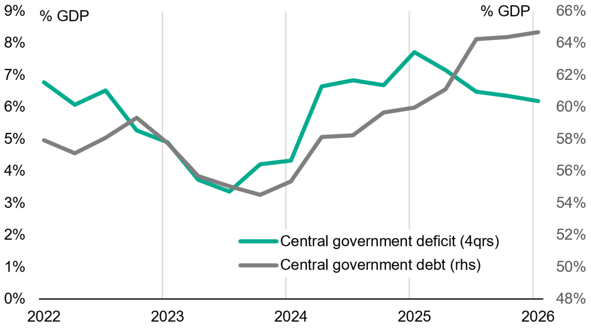
Source: National Treasury, BNP Paribas

Colombia: Growth to decelerate in 2026 before picking up in 2027, inflation to stay above BanRep's target

	2022	2023	2024	2025e	2026e	2027e
Real GDP growth, %	7.3	0.8	1.5	2.6	2.0	2.7
Inflation, CPI, year average, %	10.2	11.8	6.6	5.1	6.2	5.5
Central goverement balance / GDP (%)	-5.3	-4.2	-6.7	-6.4	-6.5	-5.4
Central government debt / GDP (%)	59.3	54.5	59.7	64.4	66.8	68.4
Current account balance / GDP (%)	-6.0	-2.3	-1.7	-2.4	-2.1	-2.3
External debt / GDP (%)	59.2	59.6	52.6	53.1	54.3	55.6
Forex reserves, USD bn	57,3	59,6	62,5	64,4	66,8	67,2
Forex reserves, in months of imports	7.7	9.3	9.5	9.2	9.3	9.3

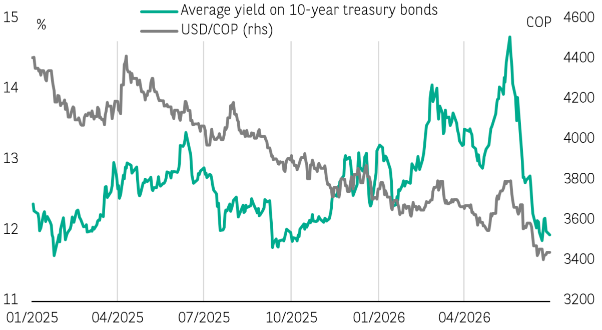
Source: BNP Paribas

Colombia: Central government deficit remains substantial



Source: DANE, BNP Paribas

Colombia: Markets have reacted positively to the election of Abelardo de la Espriella



Source: BanRep, BNP Paribas

Middle East –Egypt slightly affected by the oil shock vs. Saudi Arabia hit hard by the conflict

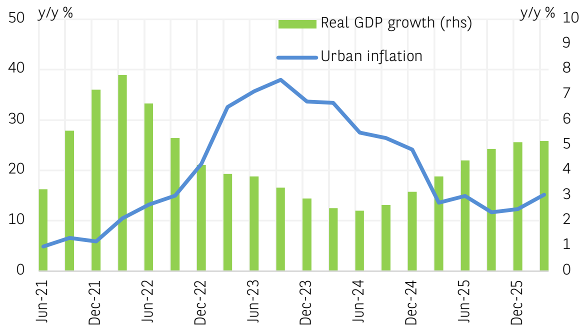
Egypt: Macroeconomic improvement is not derailed

	2022	2023	2024	2025e	2026e	2027e
Real GDP growth (%)	6.7	3.8	2.4	4.4	4.7	4.7
Inflation, CPI, year average, %	8.5	24.0	33.6	21.0	13.2	12.3
Gen. Gov. balance / GDP (%)	-5.8	-5.7	-3.3	-6.5	-9.3	-6.1
Gen. Gov. debt / GDP (%)	89	96	91	87	81	72
Current account balance / GDP (%)	-3.5	-1.2	-5.4	-4.2	-3.6	-2.9
External debt / GDP (%)	33	42	40	44	42	40
Forex reserves (USD bn)	31,5	32,8	44,3	45,3	47,3	49,5
Forex reserves, in months of imports	3.7	4.7	6.0	5.1	5.0	5.3

Fiscal year from July 1st of year n-1 to June 30 of year n

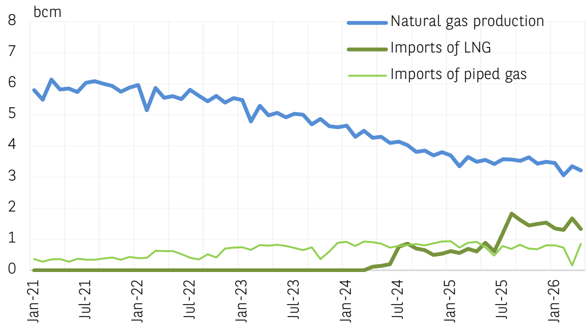
Source: BNP Paribas

Egypt: Economic recovery still on track



Source: IMF, BNP Paribas

Egypt: Growing dependence on LNG imports



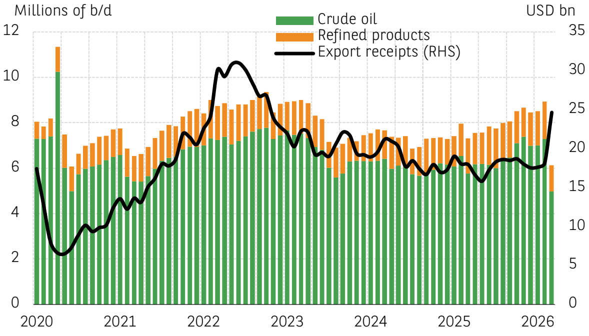
Source: BNP Paribas

Saudi Arabia: Hit by a severe growth shock

	2022	2023	2024	2025e	2026e	2027e
Real GDP growth (%)	12.0	0.5	2.6	4.5	0.8	4.4
Inflation, CPI, year average, %	2.5	2.3	1.7	2.0	2.2	2.1
Gen. Gov. balance / GDP (%)	2.2	-1.8	-2.5	-5.8	-5.1	-4.3
Gen. Gov. debt / GDP (%)	21	23,0	25,9	31,8	34,9	38,0
Current account balance / GDP (%)	12.1	2.1	-1.3	-2.6	-0.8	-1.1
External debt / GDP (%)	21	24,6	29,5	37,5	38,1	40,4
Forex reserves (USD bn)	460	437	437	460	487	493
Forex reserves, in months of imports	21.4	17.2	15.5	15.4	15.5	14.9

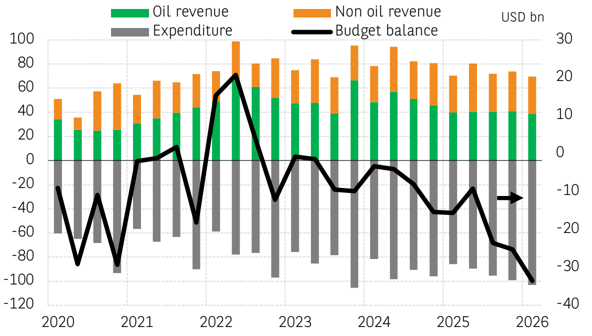
Source: BNP Paribas

Saudi Arabia's oil exports: falling in volume, surging in value



Source: GASTAT, Jodi, BNP Paribas

Saudi Arabia: Fiscal deficit reaching a record high



Source: MOF, BNP Paribas

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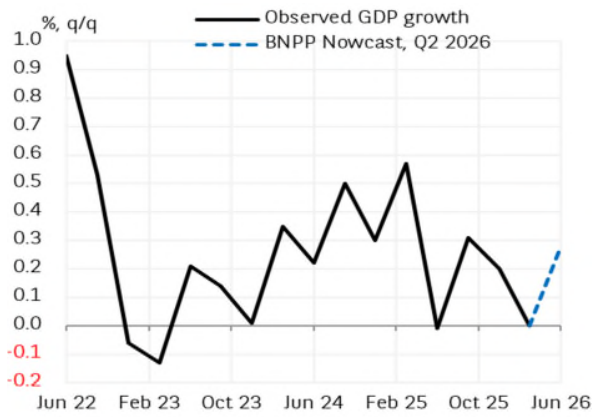
Q2 growth in advanced economies: resilient despite multiple shocks

Shocks are mounting, but growth is holding up. Although GDP figures for the Eurozone, France, Germany and the United States are due to be published on 30 July, our nowcasts indicate that growth returned to its trend rate in the second quarter. This rate is approximately 1% per annum in the Eurozone, France and Germany, and 2% per annum in the United States. In Q2, the Eurozone is expected to benefit from sustained growth in Germany, with investment plans gaining momentum, while France is expected to see a rebound in exports and residential construction after a poor start in Q1. In the United States, growth is expected to remain driven by non-residential investment and household consumption but will be held back by strong imports.

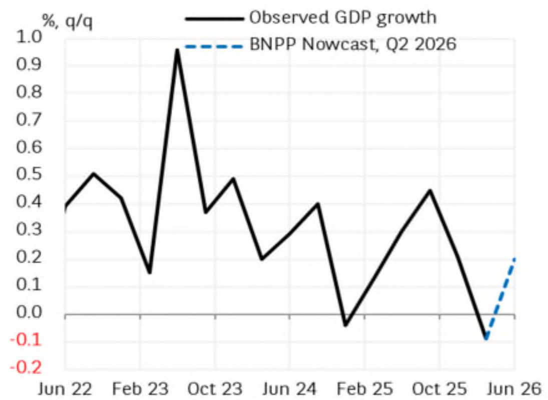
Eurozone: a (fragile) resurgence in momentum. Following a first quarter marred by significant volatility in Irish statistics – assuming this does not disrupt Q2 GDP figures again – **our nowcast points to a rebound in growth of +0.3% q/q in Q2 2026**, in line with our forecast. This nowcast has been recently revised upwards due to improvements in the June PMI surveys and the (unfortunately temporary) fall in the price of Brent crude. Growth in the Eurozone is expected to be driven by Germany and the rebound in economic activity in France (see below). The resilience of the Eurozone labour market is likely to continue providing support for consumption, although household purchasing power is expected to fall by 0.9% q/q in Q2. This decline underscores the two headwinds facing households: geopolitical uncertainty and the temporary rise in inflation, both of which are expected to continue to dampen consumption and keep the savings rate at a high level.

Eurozone



Source: Refinitiv, BNP Paribas

France

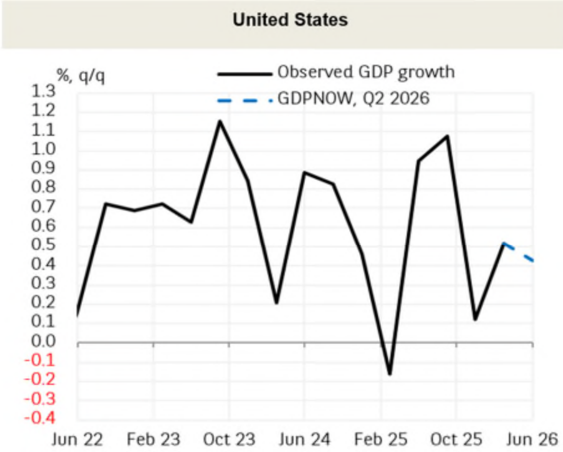


Source: Refinitiv, BNP Paribas

France: a (partial) return to growth. France appears to have returned to growth in the second quarter, with an increase of +0.2% q/q according to our nowcast. Three factors contributed to the 0.1% q/q decline in Q1: i/ exports: however, Airbus deliveries have since rebounded sharply (+40% y/y in Q2 after -16% y/y in Q1), and exports have also risen in the steel, IT/electronics and pharmaceutical sectors; ii/ construction: after a sharp decline across all its sub-sectors in Q1, output is expected to stabilise in Q2 (with a rebound in new housing offsetting ongoing weakness in public works and renovation); 3/ household consumption: this is expected to remain under pressure in Q2 (following a 0.2% q/q decline in Q1) due to rising inflation, which has prompted households to revise their purchasing intentions downwards (a decrease of 9 points in June compared with February in the household confidence survey, 22 points below their historical average).

Germany: the return to growth is being confirmed. Germany is implementing its investment plans (**see our analysis**) and this is being reflected in its GDP growth. **Our Germany nowcast (which we are publishing for the first time) indicates that growth reached 0.2% q/q in the second quarter**, marking a third consecutive quarter of growth (+0.2% q/q in Q4, +0.3% in Q1) – a performance not seen since 2022. Public spending is the main driver of this growth, with social spending leading the way (particularly those associated with an ageing population). Defence spending is also gaining momentum: in Q1 2026, government expenditures accounted for a quarter of public consumption growth (compared with a tenth a year earlier). This rise in public spending is supporting public works, with output reaching an all-time high in the first two months of Q2 (+6% q/q). German industry is also reaping the benefits of this, alongside the resurgence in European demand: domestic industrial orders have risen by 2.6% y/y since the start of 2026, with an even more significant rise for orders to the Eurozone (+6.2% y/y).

Source: Refinitiv, BNP Paribas



Source: Refinitiv, Fed Atlanta BNP Paribas

United States: growth held back by inflationary pressures. Survey data are looking strong. The non-manufacturing ISM index remains high (54 in June, following a peak of 56.1 in February), while the manufacturing ISM index has risen significantly since the start of the year (averaging 52.9, compared with 47.5 in the second half of 2025). However, GDP growth is unlikely to benefit much from this uptick in activity, as the rise in imports (particularly of inputs for AI) has also accelerated. **This limits the Atlanta Fed's nowcast to 1.7% q/q for the second quarter (annualised), while our forecast is slightly more optimistic, at 2.2% annualised (0.55% q/q, non-annualised)**. This figure, which is relatively moderate given the high ISM reading, can also be attributed to the inflationary pressures facing the US economy. These pressures are linked to supply constraints on intermediate goods and the strength of the labour market and have been exacerbated since March by the rise in oil prices. Consequently, while it is conceivable that consumption will continue to be driven in Q2 by the wealth effect among affluent households, the confidence and spending of other Americans are likely to be adversely affected by ongoing inflation.

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FRENCH CORPORATES: PEAKS IN CREATIONS PUT PEAKS IN BANKRUPTCIES INTO PERSPECTIVE

Thomas Humblot

In June 2026, corporate creations cumulated over one year remained dynamic, reaching a historic peak according to INSEE, with 1,233,123 corporates set up, representing a 11.1% year-on-year increase. This momentum is not a recent phenomenon, as corporate creations have doubled over the last decade. During this same period, the rise in bankruptcies has been ten times lower, which serves to put current levels (approximately 70,000 bankruptcies cumulated over one year in March 2026) into perspective. Historically, the peaks and troughs in corporate bankruptcies are following those of corporate creations, with an average lag of 24 to 36 months. Therefore, the absolute number of bankruptcies provides an incomplete reflection of the financial health of the French production base, and must be supplemented by other indicators.

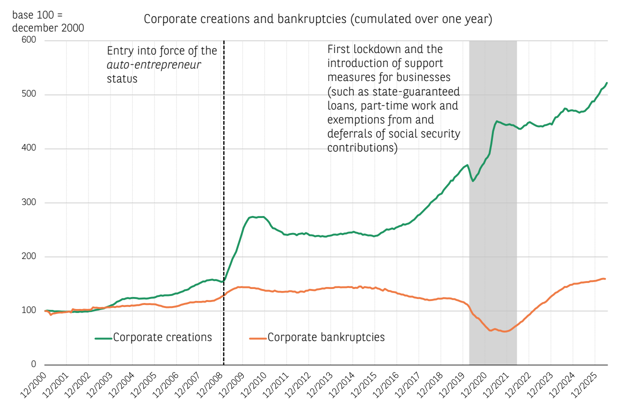
Corporate creations have doubled in ten years, but bankruptcies have not. Over the past decade, the number of corporates created annually has doubled, as creations were plateauing at around 570,000 per year between 2012 and 2015, while they reached 1,166,000 in 2025 (+104%). During these same two periods, bankruptcies cumulated over one year increased by only 11%. The introduction of the 'auto-entrepreneur' status on 1st January 2009[1], followed by the doubling of the turnover ceiling (and the explosion of delivery platforms) in 2018, largely fuelled the rise in corporate creations during this period.

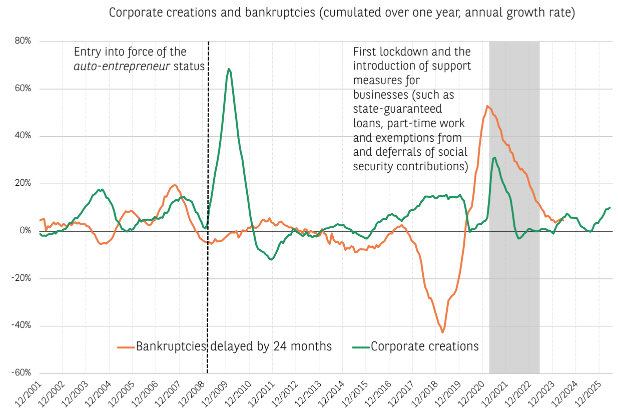
Historically, bankruptcies follow creations after 24 to 36 months. As a result, the peaks seen since March 2026 (around 70,000 bankruptcies cumulated over one year) reflect the increase in the number of young corporates, rather than solely the impact of successive macroeconomic shocks. Given that the average survival rate for all corporates is 75% at 3 years, compared to 65% at 5 years (and 50% at 9 years)[2], the cycles of rising and falling bankruptcies are generally following cycles of rising and falling corporate creations after a period of 24 to 36 months[3].

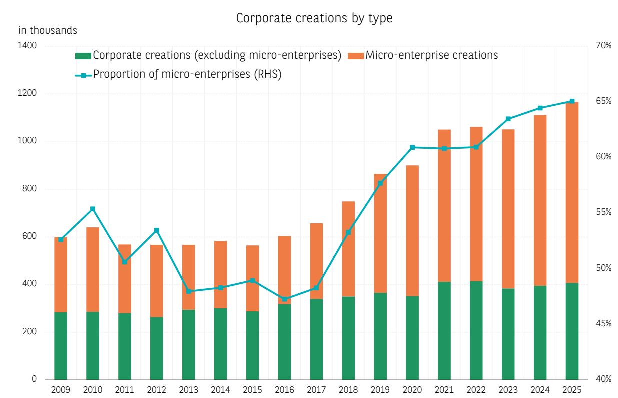
The financial health of corporates must be assessed beyond mere creation and bankruptcy figures. First, bankruptcy statistics underestimate the difficulties faced by micro-enterprises. Indeed, Banque de France statistics only record companies undergoing receivership ('redressement judiciaire') or liquidation ('liquidation judiciaire'). However, micro-enterprises are more likely to cease operations when facing difficulties without entering formal bankruptcy proceedings. Therefore, bankruptcy data must be supplemented by other indicators, such as corporate deregistrations ('radiations')[4], which are rising, according to Infogreffe[5]. Second, as micro-enterprises are over-represented among bankruptcies — accounting for 92% of the total in May 2026 — the absolute number of bankruptcies should be contextualised by other metrics. These include the economic weight of bankrupt corporates, which allows for weighting by a proxy for corporate size, or the ratio of non-performing loans (NPLs) in the banking sector[6]. These data confirm that there is no particularly alarming trend in recent bankruptcy figures.

We will shortly publish a dashboard providing a synoptic overview of these aspects.

Peaks in corporate creations, driven notably by the rise of auto-entrepreneurs since 2009, are followed by peaks in bankruptcies after 24 to 36 months







SOURCE: BANQUE DE FRANCE, INSEE, BNP PARIBAS

1 With this status merged into the 'micro-enterprises' status since 2016, which is the only one remaining.
2 See Economically active enterprises in 2023 - Insee Première - 2097
3 See Défaillances d'entreprises : les dynamiques à l'œuvre au terme de six années atypiques | Banque de France [Available in French only].
4 Which includes a substantial number of takeovers, company mergers and legal restructuring of business groups without interruption to business activity.
5 Panorama de l'entrepreneuriat – Mai 2026 : des créations stables, des radiations toujours élevées et des fragilités persistantes - Infogreffe [Available in French only].
6 See Poids économique des défaillances d'entreprises, des niveaux élevés à relativiser

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EDITORIAL

EMERGING ECONOMIES: WHY IS THE ENERGY SHOCK NOT DERAILING GROWTH DRIVEN BY THE AI BOOM?

Despite the war in Iran, the closure of the Strait of Hormuz and the temporary surge in energy prices, emerging economies have so far avoided a crisis scenario. Their growth is slowing marginally, inflation remains contained in most countries and financial markets have not collapsed. The most powerful growth engine is coming from Asia: global demand for chips, data centers and electronic goods linked to artificial intelligence is offsetting part of the oil shock and reshaping the external balances of several emerging countries.

Emerging economies have so far withstood the energy shock caused by the conflict in the Middle East better than expected. The surge in oil, gas and energy-related input prices was rapid, but less inflationary than in 2022. If monetary easing cycles have been interrupted in many countries, most central banks have been able to keep their rates unchanged over the past four months. Emerging financial markets did not experience a generalized loss of confidence, while macroeconomic buffers stronger than in summer 2022 helped absorb the rise in energy costs. In Asia, the region most dependent on Middle Eastern hydrocarbons, authorities have limited the risks of shortages by diversifying supply sources, mobilizing reserves and adjusting demand. Most importantly, countries exporting technological goods have been benefiting strongly from the boom in artificial intelligence. Investments in AI physical infrastructure and global demand for chips and other electronic goods have been supporting growth and external accounts of several emerging economies, sometimes more than the energy shock penalizes them. In the short term, the average growth of emerging markets should therefore slow down only moderately. Risks remain high, however, including more persistent inflation, possible increases in US Fed rates, geopolitical tensions, volatility in commodity prices and the risk of a tech cycle correction.

Exposure to the energy shock

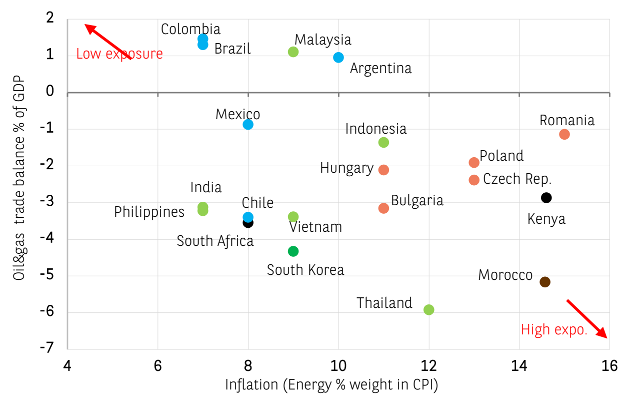

CHART 1 SOURCE: ITC, NATIONAL STATISTICS, BNP PARIBAS

GROWTH IN EMERGING ECONOMIES: THE ENERGY SHOCK SLOWS ACTIVITY AND ACCELERATES INFLATION, WITHOUT CAUSING A CRISIS

Emerging market economies have overall withstood the energy shock caused by the war in Iran. Their average growth, solid in the first quarter of 2026 (estimated at +1.0% q/q), is expected to slow only very moderately in the second quarter. Neither business surveys nor activity indicators experienced significant deterioration during the spring. The aggregate manufacturing PMI for emerging countries fell in March before rebounding in April and remaining almost stable thereafter; in June, it was in expansion territory (at 51.4) and slightly above its January-February average level. By the end of June, only four of the eighteen major emerging economies (Chile, Indonesia, Türkiye, Egypt) had a manufacturing PMI below 50 and lower than in February. In industrialized Asian countries that are also net hydrocarbon importers, PMIs remained well-oriented despite the energy shock. In Vietnam, real GDP growth accelerated to +8.4% y/y in Q2, up from +7.9% in Q1, driven by strong industrial production and export performance. In China, economic growth slowed in Q2 (+4.3% y/y after +5% in Q1), notably curbed by rising energy prices, lower public spending and weak demand of the domestic private sector (see the note on China, page 10).

On the inflation front, the shock proved less severe than expected: inflationary pressures have emerged quickly but remained moderate. The closure of the Strait of Hormuz had an immediate and significant impact on global energy prices (Brent price: +57% between late February and late April – see table A & chart B, page 6), as well as on fertilizer and petrochemical product prices. The shock quickly affected fuel prices and transport costs around the world.

However, on the one hand, the increases have so far spread little to agricultural and food prices. This has significantly limited the impact of the energy shock on CPI inflation (energy typically accounts for less than 15% of the CPI basket in emerging countries, while the average weight of food is 30%), particularly when compared to the 2022 shock resulting from the war in Ukraine. On the other hand, oil prices fell from late April (Brent price: -19% in May and -21% in June), helped by the faster reduction in OECD countries' stocks and lower Chinese oil imports, and then by prospects of the reopening of the Strait of Hormuz[1].

The median CPI inflation rate in emerging markets has risen moderately, from 3.2% y/y in February to 4.3% in June. Inflation thus remains contained in a majority of countries (see chart C, page 6). In the countries most severely affected (notably the Philippines and Thailand, followed by Kenya, South Africa and Bulgaria), the inflationary shock is explained by a greater direct exposure to the energy price shock (Chart 1, above) and, in some cases, by the depreciation of their currency. Conversely, inflationary pressures have been the lowest in countries using subsidies or fuel price controls (for example India, Indonesia, Malaysia or the Gulf countries). In China, rising energy prices have helped reduce deflationary pressures (though not addressing the underlying structural causes): producer prices have been increasing since March after more than three years of decline, and CPI inflation has accelerated slightly to +1.1% y/y in Q2 2026 vs. 0.8% in Q1.

Monetary easing cycles, which were underway in many countries at the beginning of the year, have generally been interrupted. But interest rate hikes have been few and limited in scope (see chart D, page 6). Since the beginning of the war in Iran, only a few central banks have significantly raised their policy rates, but not necessarily in response to the energy shock. It is, in particular, the case of Indonesia and Colombia:

1 BNP Paribas, 16 June 2026: Reopening of the Strait of Hormuz: the oil market between short-term relief and persisting uncertainties

while their direct exposure to the energy price shock is limited (Chart 1, page 3), monetary authorities reacted, in the first case, to the nervousness of foreign investors and the depreciation of the rupee and, in the second, to the expansionary drift of fiscal policy and its effects on inflation (*cf.* Indonesia & Colombia, pages 16 and 26). Monetary policy was also tightened in the Philippines and, to a lesser extent, in South Africa and the Czech Republic, as central banks acted quickly when inflation moved away from target (3%±1 for the Philippines and South Africa, 2%±1 for the Czech Republic). Korea's central bank is the latest to have raised its policy rate on 16 July (+25bp) due to inflationary pressures in a context of solid economic growth (*cf.* South Korea, page 12).

A large number of central banks have kept their key interest rates unchanged, including in Asia. The monetary status quo could be maintained in Thailand (which is emerging from a year of deflation), Vietnam (whose central bank has objectives to stabilize prices but also to support demand) and China (which is seeking to stimulate credit and combat deflationary pressures). Brazil and Hungary are two exceptions as they have, as planned before the war, started their monetary easing cycle (since February, policy rates have been cut by 75bp in Brazil and 50bp in Hungary).

WHY ARE EMERGING COUNTRIES COPING BETTER THAN IN 2022 WITH THE ENERGY SHOCK?

Macroeconomic resilience. Emerging countries' macroeconomic fundamentals and their cyclical position have helped cushion the impact of the external shock. At the beginning of the year, emerging economies as a whole, experienced dynamics of strong growth, disinflation, and lowering public and external account imbalances. In India, for example, the authorities have more leeway to support the economy thanks to a smaller budget imbalance, lower current account deficit and more moderate inflation than in 2022 (*cf.* India, page 14). In Egypt, the adjustment of economic policies over the last few quarters (fiscal reforms, increased exchange rate flexibility) and support from international creditors have been helping to limit the destabilizing effect of rising energy prices (*cf.* Egypt, page 32). In Poland and more generally in Central Europe, inflation is much more moderate than in 2022, and inflation expectations are better anchored (*cf.* Poland, page 18).

Energy resilience. The supply shock was less severe than feared at the time of the first military attacks in late February. Hydrocarbon shortages and their direct effects on activity have been more limited. Asian countries – despite being the most exposed to supply disruption risks due to their reliance on hydrocarbon imports from the Middle East – have demonstrated strong adaptive capacity. They rapidly implemented solutions to reduce the risk of shortages, with measures to contain demand, search of alternative supply sources (for instance from Russia, floating stocks, etc.). Central European[2] and Latin American countries[3] are less or little dependent on hydrocarbons from the Middle East.

The absence of a financial shock. Emerging financial markets have not experienced widespread stress since the beginning of the war in Iran. Investment flows have been highly volatile in an international context marked by rising geopolitical risks and upheavals linked to the AI boom. However, overall, emerging markets have not experienced any major loss of foreign investor confidence. Financial conditions have tightened only slightly for emerging sovereign and private borrowers. CDS spreads and domestic bond yields tensions have remained contained and lower than in 2022, and currencies have generally held up well (Chart E, page 6). Between 27 February and 18 June 2026 (memorandum of understanding between the United States and Iran), the most significant depreciations affected either the countries most directly exposed to the energy shock, such as Thailand (-5.3% vs. USD), South Korea (-6.2%) or the Philippines (-4.5%), or those with specific macroeconomic vulnerabilities, such as Indonesia (-5.7% vs. USD), Romania (-5.4%) and Türkiye (-5.4%). Emerging currencies appreciated between the signing of the MOU and the resumption of military attacks in mid-July.

Another factor contributing to the broad resilience of the emerging economies is the boom in AI and global demand for AI-related goods.

THE EXPANSION OF AI INFRASTRUCTURE SUPPORTS ACTIVITY IN ASIA

For emerging countries as a whole, the rise of AI represents a positive growth shock that offsets the negative impact of the energy shock. So far, the impact of AI expansion on emerging economies has been mainly through the spillover effects of investments in the physical infrastructure of AI[4], via supply chains and global trade[5]. The countries that produce the goods necessary for the construction of data centers and other AI infrastructures (critical metals and, above all, chips and other electronic goods) have indeed a strategic advantage in their international relations, a solid export base and a growth driver. **In some of these countries, the surge in global demand for AI-related goods is also reshaping external account dynamics.**

Countries that produce critical minerals hold a particularly strategic position, but economic growth gains directly linked to the AI boom are modest in the short term. They export these minerals largely in their raw state, without great added value, and the quantities used are limited. While all AI-related goods account for about 15% of the total value of global exports (Oxford Economics data), raw materials represent less than 3%. However, the rise in critical metal prices has supported the terms of trade for exporting countries (for example, the price of copper has increased by 42% over the past year and by 8% since the beginning of 2026). This has enabled, particularly in certain Latin American countries, to offset the impact of rising prices of imported hydrocarbons since the beginning of the conflict in the Middle East.

Countries that produce chips and other electronic goods have, on the contrary, benefited from strong support for activity and exports over the last few quarters. It essentially concerns Asian countries, which provide 65% of global exports of AI-related goods and 85% of semiconductor exports (2025 data). Taiwan, as well as South Korea, China, Vietnam, Malaysia and Thailand are the main beneficiaries of the rise in global demand for AI-related goods in terms of impact on activity[6]. **On the other hand, the impact on current account balances varies widely and depends on the producing country's position in the value chains.**

Upstream in the chain, Taiwan and South Korea produce the most sophisticated and indispensable chips for AI, and the rise of AI supports activity and current account surpluses. Their merchandise exports have shown very high growth rates (+47% y/y in value in both Korea and Taiwan in H1 2026), driven by a strong increase in both volume (estimated at over 20% y/y in H1) and prices (see chart F, page 6). Export prices are supported by the rapid increase in demand and the rise in the value chain (in South Korea, the average price of exported

2 BNP Paribas, 27 April 2026: Energy shock: The four keys to Central Europe's resilience
3 BNP Paribas, 15 April 2026: Latin America: more exposed to inflationary pressures than to disruptions in hydrocarbon supplies
4 BNP Paribas, 6 March 2026: The rise of artificial intelligence: strategic opportunities for emerging countries
5 Growth in the volume of world merchandise exports accelerated from 2.8% in 2024 (1.8% in value) to 4.4% in 2025 (6.8% in value) and 6.7% y/y in the first four months of 2026 (CPB data), largely driven by demand for AI-related goods.
6 According to Oxford Economics estimates, Taiwan benefits from the most significant positive impact on its GDP and net exports from a USD100 increase in US imports of AI-related goods. Vietnam, Malaysia, South Korea, Thailand and China follow. *Cf.* Oxford Economics, 21 May 2026: *How AI is shaping regional supply chains – and fuelling a new savings glut.*

semiconductors has more than doubled in a year). The growth in volumes has recently slowed down, with the manufacturing sector activity being constrained, on the one hand, by rising energy and commodity costs and, on the other hand, by high production capacity utilisation rates.

Boosted by production and exports of AI-related goods, Taiwan's economic growth reached 14.5% y/y in Q1 2026 (with a contribution from net exports of 10.3pp) and South Korean growth accelerated to 3.8% (with a contribution from net exports of 1.5pp). On the external account side, strong growth in chip exports and the improvement of terms of trade have had a direct and significant positive impact on the trade and current account balances (*cf.* chart 2). External surpluses are reaching record highs despite the rise in the energy bill. In Q1 2026, Taiwan's current account surplus is estimated at nearly 25% of GDP (vs. an average of 15% over the past five years), and South Korea's at nearly 15% of GDP, compared to 4% over the past five years (South Korea).

China exports a wider range of AI-related goods, but their production requires importing microprocessors and other high-value-added components, notably from South Korea and Taiwan. The boom in AI-related global demand is boosting export activity, and China's AI sector is becoming an essential driver of growth in both the industrial and services sectors. However, the balance of trade in AI-related goods is close to equilibrium, as imports are increasing in line with exports. Therefore, the boom in trade of AI-related goods does not increase China's trade surplus (*cf.* China, page 10).

Other exporters of tech goods are more specialized in the assembly, testing and packaging of chips to form electronic components at various stages of the value chain. They are all benefiting from solid support for economic growth and export revenues. However, not all have a position that allows them to increase their trade surpluses thanks to the rise in global demand for AI-related goods (*cf.* chart 2). Malaysia currently benefits from its status as a net exporter of hydrocarbons and semiconductors.

At the other end of the spectrum, Thailand, Vietnam and, to a much lesser extent, Mexico produce lower value-added goods. They are currently facing both the rise in energy costs and the rise in the price of electronic inputs that they have to import to run their factories (*cf.* Mexico, page 28). In Thailand and Vietnam, the trade balance moved from a surplus in H1 2025 to a deficit in the same period in 2026. The boom in AI therefore tends to exacerbate their external vulnerability. While Thailand has sufficient foreign exchange reserves to absorb shocks to its balance of payments, Vietnam has low forex reserves and could face some pressure on its currency in the coming months.

FORECASTS FOR 2026: ECONOMIC GROWTH CLOSE TO 4%, BUT THREE MAJOR SOURCES OF RISK FOR TURBULENCE

Average growth in emerging economies is therefore expected to slow only moderately in the short term. In our central scenario, we expect average growth slightly below 4% for the whole of 2026, after 4.5% in 2025. The slowdown is, unsurprisingly, most pronounced in the Gulf[7] and the Middle East. It is widespread but relatively moderate in Asian countries, with the effects of the AI boom helping to offset the consequences of the energy shock in the most industrialized economies. Asia's average economic growth will remain the strongest among emerging regions. The slowdown is much less pronounced in Latin America, particularly thanks to the expected rebound in Mexico and the strong performance of Brazilian growth (*cf.* Mexico and Brazil, see pages 28 and 24), and in Central Europe, where activity is notably supported by public investment (see Regional Overviews, page 8).

External accounts: countries have varied positions in face of the energy shock and the AI boom

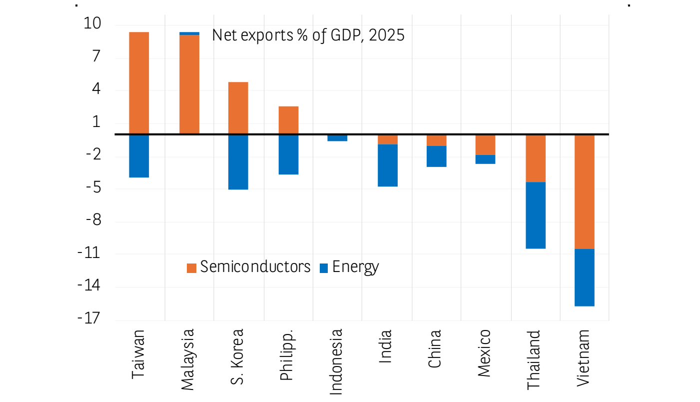

CHART 2

SOURCE: ITC, IMF, BNP PARIBAS

The first downside risk to this central scenario is the inflationary risk. Inflationary pressures are expected to persist, driven by durably higher commodity prices. They could lead to a broader tightening of monetary policies. After the signing, in late June, of the MOU between the United States and Iran, global oil prices had returned to their pre-war levels, but they have been increasing again since the resumption of military attacks. They should remain volatile and high in the short term. Global prices of critical minerals are expected to remain high, particularly due to the wave of AI investments and electrification. Agricultural commodity prices could also rise faster than expected due to a combination of higher fertilizer prices and weather phenomena (El Niño, heatwaves, unfavorable monsoon in India, etc.). The IMF expects an 18.6% increase in the average price of non-fuel commodities in 2026, after +10% in 2025.

The second risk to our forecasts is the risk of tighter global financing conditions for emerging borrowers, which will partly result from the expected increase in US Fed rates and could further intensify if foreign investor sentiment deteriorates. Large depreciations of emerging currencies would then also increase inflationary pressures. In a global context marked by geopolitical tensions and upheavals driven by the AI boom, the risks of financial turbulence are significant.

The third risk is the potential correction of the technology cycle. A sudden slowdown in investments in data centers and digital infrastructures would directly weigh on economies most exposed to semiconductor value chains. Given the current narrow base of global growth and its concentration around tech, such a correction would not be limited to financial markets: it would also affect the real economy, particularly in the industrialized countries of Asia and countries dependent on US demand.

Article completed on 16 July 2026

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7 BNP Paribas, 15 July 2026: The conflict in the Middle East: a massive blow to growth in the Gulf

CONSEQUENCES OF THE ENERGY SHOCK

Oil and gas prices (annual averages)

	2025	2026p	2027p
Brent (USD/b)	68.1	81-96	79-110
TTF (€/MWh)	36.3	40-51	35-86

Forecasts: **lower bound** = temporary hike in tensions but negotiations continue;
upper bound = reescalation with indefinite Hormuz outage

TABLE A SOURCE: BNP PARIBAS

Prices of oil, gas and fertilisers

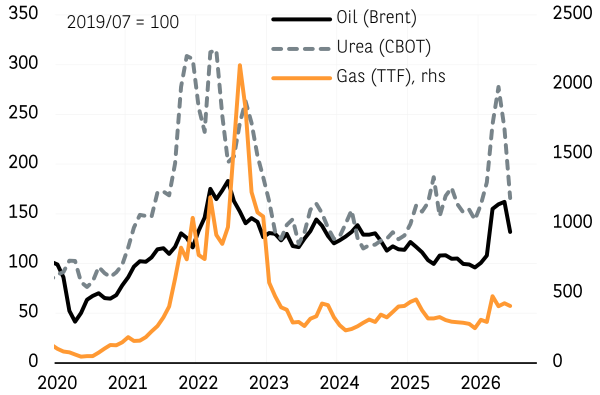

CHART B SOURCE: BLOOMBERG

Moderate increase in inflation pressures

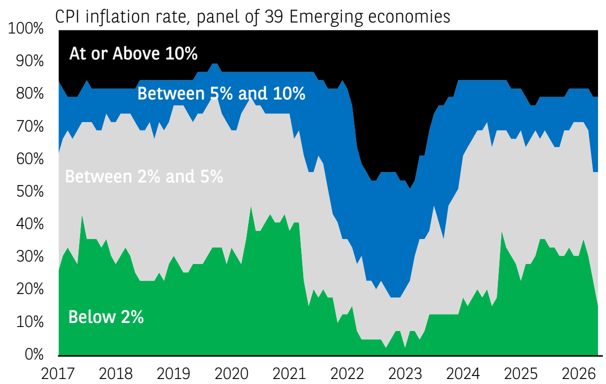

CHART C SOURCE: CENTRAL BANKS, MACROBOND, BNP PARIBAS

Monetary tightening is not widespread so far

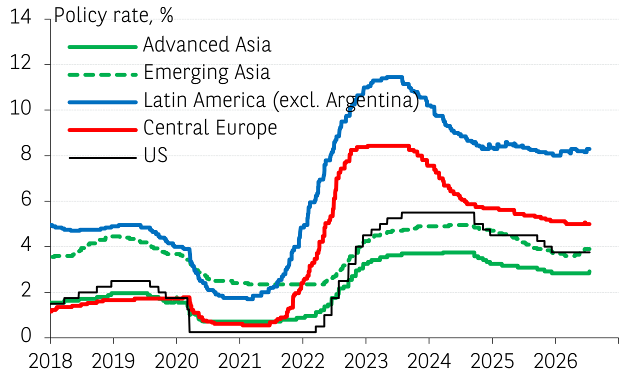

CHART D SOURCE: CENTRAL BANKS, MACROBOND, BNP PARIBAS

Moderate currency depreciations

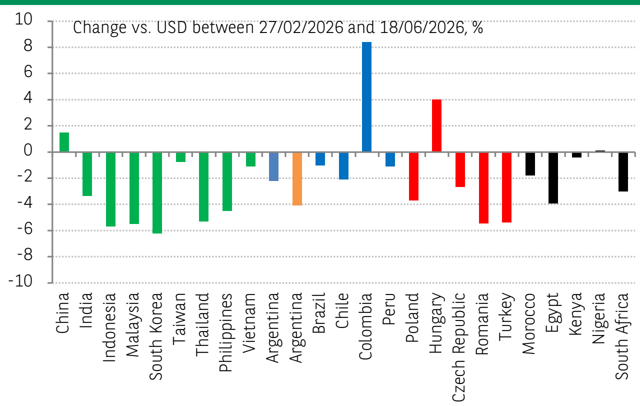

CHART E SOURCE: MACROBOND, BNP PARIBAS

Chip producers enjoy the strongest export growth

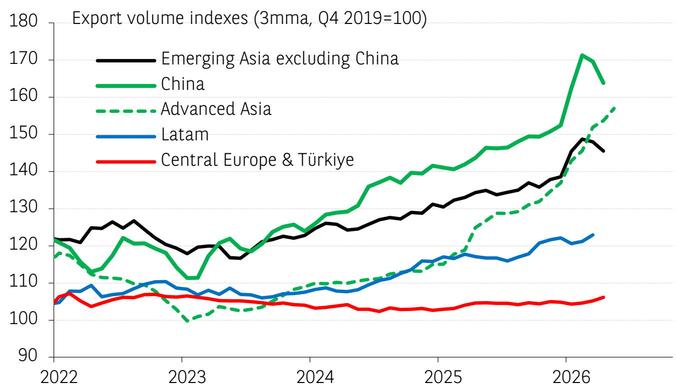

CHART F SOURCE: CPB, MACROBOND, BNP PARIBAS

KEY INDICATORS

Real GDP

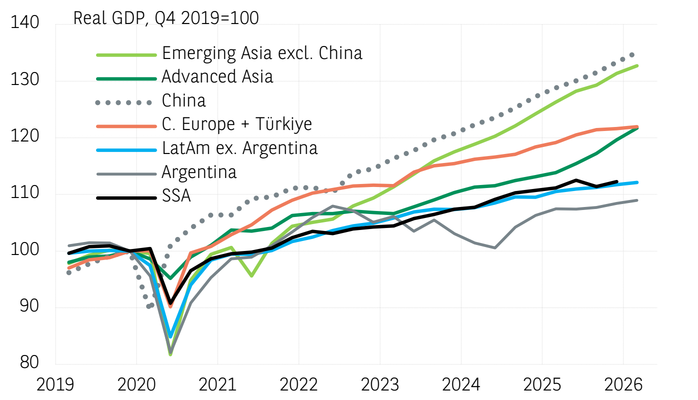

CHART 1

SOURCE: MACROBOND, BNP PARIBAS

Inflation

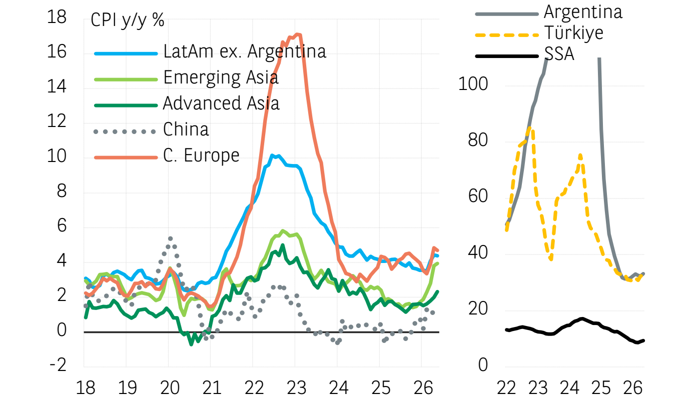

CHART 2

SOURCE: MACROBOND, BNP PARIBAS

Domestic bank credit

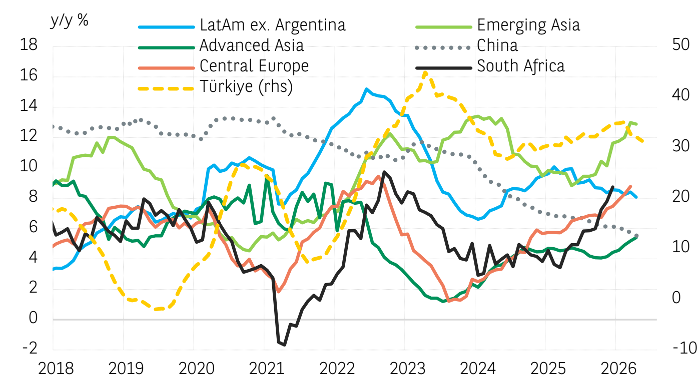

CHART 3

SOURCE: CENTRAL BANKS, BNP PARIBAS

Current account balance

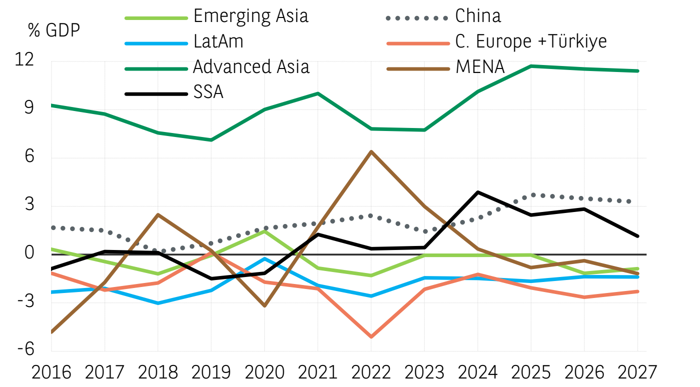

CHART 4

SOURCE: IMF (WEO), BNP PARIBAS

General government net balance

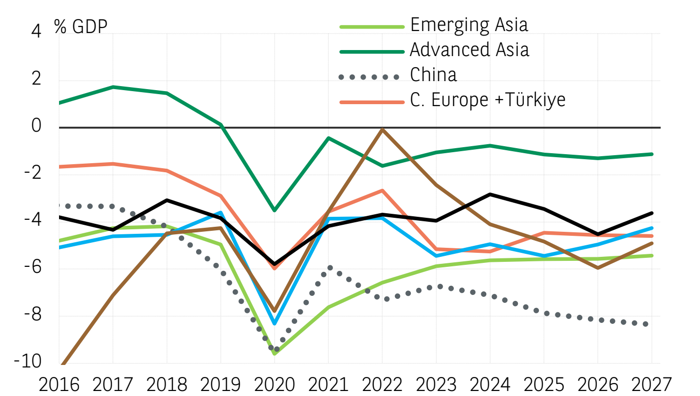

CHART 5

SOURCE: IMF (WEO), BNP PARIBAS

General government gross debt

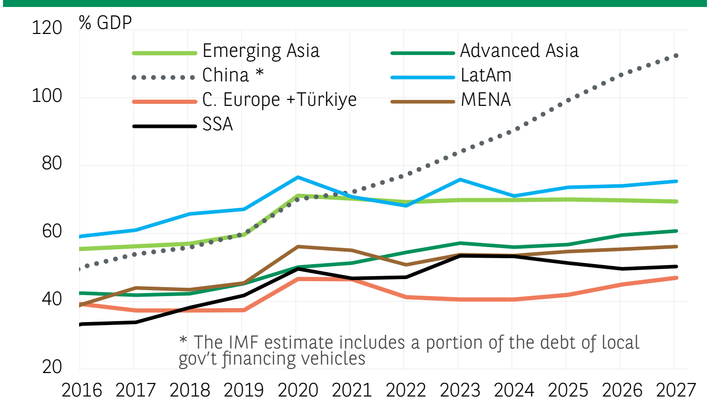

CHART 6

SOURCE: IMF (WEO), BNP PARIBAS

Emerging Asia: India, Indonesia, Malaysia, Philippines, Thailand, Vietnam **Advanced Asia:** Hong Kong, Singapore, South Korea, Taiwan **Central Europe:** Bulgaria, Czech Rep., Hungary, Poland, Romania, Slovakia **Latin America:** Argentina, Brazil, Chile, Colombia, Mexico, Peru **MENA:** Middle East-North Africa **SSA :** Sub-Saharan Africa: Angola, Kenya, Nigeria, South Africa.

REGIONAL OVERVIEWS

Article completed on 13 July 2026

NORTH AFRICA / MIDDLE EAST: A SEVERE SHOCK WITH DISPARATE EFFECTS

The consequences of the conflict in the region are significant. Average economic growth is expected to fall to 0.5% this year, compared to 4% in 2025. The Gulf Cooperation Council (GCC) countries are bearing the brunt of the correction, as, for the first time since 2020, a GDP contraction (of approximately 1%) is expected in 2026, due to the sharp decline in oil and gas production during the conflict. Non-hydrocarbon activity is also decelerating, although it is not contracting in Saudi Arabia or the United Arab Emirates. For Kuwait and Qatar – the least diversified GCC economies and with no alternative to the Strait of Hormuz – the growth shock is much more severe. For these two countries, real GDP contraction is expected to reach 7% to 8% in 2026.

Provided the situation stabilises, GCC growth is expected to rebound to 4.6% in 2027, driven by the recovery of oil and gas production and a rebound in the non-hydrocarbon sector. Uncertainties remain very high. Nevertheless, several factors are contributing to the resilience of these countries: relatively high global energy prices, vast financial resources and moderate debt levels. Financial market reactions have remained contained so far, including for Bahrain, despite its deteriorated macroeconomic fundamentals. Subsidies and the reorganisation of logistical flows around Saudi Arabia have helped to contain the inflationary risk induced by the closure of the Strait of Hormuz. Although rising, average inflation in the Gulf countries is not expected to exceed 2.5% this year.

The development models of the Gulf countries, while not entirely called into question, will need to be adjusted. Substantial investments will be required over the medium term, within an oil environment that could become unfavourable again. Saudi Arabia will have to continue managing a delicate balance between fiscal stability and the pursuit of the « Vision 2030 » programme.

In North Africa, the energy shock should remain manageable, particularly in Morocco, thanks to robust macroeconomic fundamentals. Greater exchange rate flexibility has enabled Egypt to absorb the impact on foreign currency liquidity resulting from higher energy bills and portfolio investment outflows. The upturn in activity and the disinflationary trajectory remain intact. In Algeria, the surge in energy prices will aid an economy which has seen its fiscal and external deficits deteriorate dangerously in recent years. However, without a clearly established fiscal consolidation strategy, this respite will be short-lived.

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SUB-SAHARAN AFRICA: EXACERBATED FRAGILITIES

In 2026, regional economic growth is expected to slow to 4.1% (-0.4 pp compared to 2025), hindered by rising energy and fertiliser prices. Countries in Southern and Eastern Africa, which have nearly 50% of their oil and gas imports originating from the Middle East, have been impacted by temporary fuel shortages. To some extent, however, these countries have been able to diversify their oil supply sources through Nigeria, which is better positioned than in 2022 to benefit from higher oil prices (rebounding production and additional refining capacity).

Most countries have seen a rebound in inflation since March-April, with the exception of those that chose to subsidise fuel (WAEMU zone and Angola), but few central banks have tightened their monetary policy. In South Africa, the central bank raised its policy rate by 25bps in May, whereas cuts had been expected prior to the energy shock.

The shock is weakening the external accounts and public finances of many countries. With the exception of Angola and Nigeria, most countries in the region are net energy importers, and their energy trade deficits are considerable (up to 8% of GDP in Zambia). The external accounts of countries with raw material exports supported by favourable prices (gold, copper and other low-carbon transition metals) should remain resilient. For others, concerns persist. In Kenya, the risk of a sudden devaluation of the shilling has increased with the widening of twin deficits. Since the start of the conflict in Iran, the government has halved the VAT rate on fuels, while the fiscal deficit had already reached 5.8% of GDP over the first six months of the fiscal year. In Senegal, energy subsidies are expected to cause a fiscal slippage of approximately 2 pp of GDP for 2026. In Mozambique, the energy shock could be the trigger for restructuring Eurobond debt in the coming months.

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LATIN AMERICA: LESS EXPOSED TO THE ENERGY SHOCK

Average growth in the main Latin American economies is expected to slow moderately in 2026 and remain close to 2% for the full year (compared to 2.3% in 2025).

During the Q4 2025–Q1 2026 period, growth performances were very uneven. Argentina and Brazil posted a significant acceleration in activity. Conversely, growth slowed in Peru and slumped in Q1 2026 in Chile and Mexico. With the exception of Argentina and Peru, the region's economies entered the turbulence created by the oil shock from a less comfortable position than the economies of Asia and Central Europe (the output gap remained negative in Q1 in Brazil, Colombia and Mexico).

South American economies should, in theory, be less affected by the oil shock than other emerging zones. Firstly, the risk of supply disruption is low. Secondly, these economies are, to varying degrees, net exporters of raw materials. Prices for hydrocarbons, as well as other raw materials, will be higher in 2026 than in 2025, particularly for certain raw or processed metals (copper and aluminium). To a lesser extent, agricultural commodity prices have recovered since the end of 2025 (wheat).

The status of net commodity exporter is not protecting countries against accelerating inflation. In May, compared to February, the year-on-year change in consumer prices was higher by +1.6 percentage points (pp) in Chile and Peru, +0.9 pp in Brazil, +0.5 pp in Colombia, only 0.1 pp in Argentina and even -0.1 pp in Mexico. **Nevertheless, overall, the inflationary impact remained moderate through May.**

Current account deficits should narrow due to improved terms of trade, especially in Brazil and Colombia. In contrast, rising energy prices will increase pressure on public finances via higher subsidies in Brazil, Mexico and Colombia. However, this risk is expected to be mitigated by the expected increase in fiscal revenues from oil. For Argentina, Chile and Peru, the inflationary impact could lead to monetary tightening, which would increase the interest burden on public debt. However, the moderate fiscal deficits of these countries should enable them to absorb this additional cost. Furthermore, governments in the region should overcome any potential tightening of international financial conditions without any undue difficulty.

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REGIONAL OVERVIEWS

Article completed on 13 July 2026

ASIA: THE REGION IS WELL-EQUIPPED TO FACE THE ENERGY CRISIS

In emerging Asia, a region highly exposed to the energy shock, economic growth is expected to average 5.0% in 2026, compared to 5.4% in 2025. The slowdown is expected to be fairly widespread, but moderate overall. Growth is expected to reach 4.6% in China (compared to 5% in 2025), 6.7% in India (for the 2026/2027 fiscal year, compared to 7.7% in 2025/2026) and 4.5% in the ASEAN-5 (compared to 5% in 2025).

Most countries have sufficiently solid fundamentals to cope with the consequences of the energy shock, although some currencies (notably in Indonesia and India) are under strong downward pressure. Furthermore, authorities have skilfully managed supply challenges, particularly in China. Most of all, activity in the most industrialised countries is largely supported by the booming global demand for AI-related goods, which is inflating the region's export revenues. Risks to our forecasts are skewed to the upside, despite accelerating inflation, rising interest rates and geopolitical uncertainty.

Except for Malaysia, Asian countries are large net importers of oil and gas. In 2025, their energy trade deficits reached between 1.4% of GDP in Indonesia and 5.9% of GDP in Thailand. However, governments have more headroom than in 2022 during the crisis linked to the war in Ukraine, as inflation is generally lower and fiscal deficits are better controlled. Furthermore, external accounts remain solid and current account deficits are modest. Even Vietnam, whose reserves represent less than three months of imports, has held up well against the shock.

The primary short-term risk is not the widening of the current account deficit, but the acceleration of capital outflows (already pronounced in India and Indonesia), especially if the Fed raises interest rates. Between the start of the war in Iran in late February and the end of June, Asian currencies overall experienced the most significant depreciations among emerging currencies, notably the Indonesian rupiah (-6.4% against the US dollar) and the Thai baht (-6.1%). These depreciations could accelerate in countries facing risks of fiscal slippage, particularly in India and Indonesia, where subsidies weigh on public finances. Conversely, the Chinese yuan continued to appreciate slightly (+1% against USD).

Energy price control policies have helped to limit inflation in India, Indonesia and, to a lesser extent, Malaysia, while prices rose more sharply in the Philippines and Vietnam. China has emerged from deflation thanks to higher prices at the pump and producer prices, but domestic demand is still sluggish, meaning that the resurgence of inflation could therefore prove temporary. In other Asian countries, inflationary risks will persist due to rising production costs and consistently high oil prices. While only the central banks of Indonesia and the Philippines have raised their rates so far, broader monetary tightening is possible by the end of 2026.

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CENTRAL EUROPE: THE REGION SHOWS RESILIENCE

Central European economies are expected to cope with the energy shock well once again. As they are less dependent on the Middle East for hydrocarbon imports, the region's countries – with the exception of Poland– are minimally exposed to supply disruption risks. Admittedly, rising fuel prices are affecting economic activity. However, at the same time, growth will be supported by European recovery and resilience funds, of which EUR 43.1 bn (2.1% of the 2025 regional GDP) remain to be paid. These funds notably finance public investment.

In 2026, regional GDP growth could reach 2.4% (after 2.5% in 2025), but it will remain uneven. Poland, Hungary and the Czech Republic should be among the top-performing economies in the region, while Slovakia and Romania are expected to lag behind. These two countries are engaged in a fiscal consolidation process. Additionally, Romania is currently facing a political crisis, which is weighing on economic activity.

Downward pressure on currencies and the rise in inflation have remained moderate and far less pronounced than in 2022. Furthermore, the recent slowdown in food prices, followed by a slowdown in pump prices, has contributed to falling inflation in almost all countries, except Romania. Inflation should remain close to central banks' target zones in 2026 (except in Romania and Slovakia). However, prolonged uncertainties related to the situation in the Strait of Hormuz could alter this scenario.

Monetary authorities have reacted differently (a policy rate cut of 25bps in Hungary, a policy rate hike of 25bps in the Czech Republic and the status quo in Poland and Romania). In the short term, central banks are expected to remain cautious and keep their rates unchanged.

The energy shock has had a limited impact on public finances. With less fiscal headroom than in 2022, support measures have been limited to capping prices at the pump and reducing excise duties and VAT on fuel. Furthermore, exceptional taxes temporarily imposed on oil companies (Romania and Poland) are mitigating the effect on public finances.

External accounts are solid and should absorb the shock without any major difficulties. Since the start of the war in Iran, Central European countries have accumulated foreign exchange reserves, which cover more than 7 months of imports on average. Moreover, the outlook for portfolio investments remains well-oriented with a positive yield differential relative to Germany, while FDI remains dynamic (EUR 41.7 bn in the first three months of the year, or +109% y/y).

With a current account surplus, Hungary and the Czech Republic are the least exposed to a balance-of-payments deterioration. Conversely, Romania appears most exposed, given the scale of its current account deficit. However, the situation remains manageable because its energy trade deficit is relatively low (lower than other countries in the region) and the shock's impact on the current account remains limited. Romania produces the bulk of its gas consumption, which reduces its energy dependency.

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IS THE ENERGY CRISIS ACCELERATING THE LOW-CARBON TRANSITION? PART ONE: IN EMERGING ECONOMIES, YES*

A few months after the onset of a new global energy crisis, one might wonder about its implications for the low-carbon transition in emerging countries. The answer is not straightforward, as geopolitical uncertainties and the low-carbon transition are progressing according to different timelines, at least in part. The energy shock triggered by the blockade of the Strait of Hormuz calls for immediate action to secure hydrocarbon supplies, such as using strategic reserves. Conversely, the transition to low-carbon energy is a long-term process. However, the current circumstances are unusual: the low-carbon transition was initiated several years ago, and the Hormuz crisis marks the second major energy crisis in four years.

For the time being, the energy crisis is expected to benefit fossil fuels only marginally, notably by providing a temporary incentive to increase the use of coal or, in the medium term, certain emerging gas production projects. More importantly, the situation in emerging Asia shows that the dynamics of decarbonation and electrification could build on existing trends to accelerate the transition. This momentum, which is driven primarily by individual decisions, is expected to reinforce China's dominance in the green technology market.

ASIA ON THE FRONT LINE

Emerging Asia is the region most affected by the current energy crisis. Its dependence on hydrocarbon imports from the Middle East is high. Moreover, the crisis has intensified inflation and led to a moderate decline in growth, along with the implementation of rationing measures in some countries. Emerging Europe has also been affected by the interconnection between European and Asian gas markets, and by its reliance on refined product imports from Asia. The impact on African countries is more difficult to gauge, as they are not particularly dependent on imports of oil and its derivatives from the Middle East, and their dependence on imports of gas from the Middle East is negligible. Finally, the direct impact on Latin America is limited, as the region relies overwhelmingly on imports from North America[1].

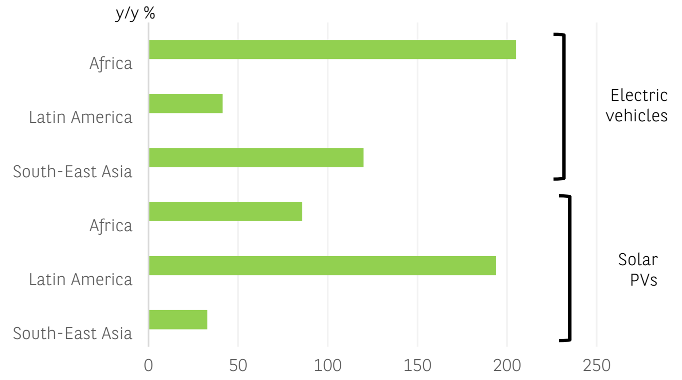
LACK OF NEW MOMENTUM FOR OIL

Historically, periods of acute energy crisis have prompted an increase in hydrocarbon production capacities wherever feasible. However, according to the IEA, the levels of investment in production forecast for 2026 are marginally lower than the pre-crisis estimate and virtually unchanged from 2025[2]. This lack of reaction may be due to the inertia inherent in investment decisions within the sector. Excluding the Gulf countries, which are having to postpone their investment decisions regarding new production capacities or, on the contrary, intend to accelerate certain security-linked investments (e.g. the doubling of the Fujairah pipeline in the United Arab Emirates, and an increase in storage capacity outside the Gulf region), there are no clear signs of an increase in the number of projects aimed at developing hydrocarbon production in emerging economies. More fundamentally, compared to the energy shocks of the 1970s and 1980s, the current crisis is unfolding in a markedly different energy landscape, one that is far more diversified.

Therefore, the implementation of low-carbon transition policies over the past decade, along with the significant drop in equipment prices, provide alternatives to align transition and sovereignty by prioritising a decarbonised energy mix. In 2025, 75% of the increase in global electricity demand was met by solar energy[3].

The energy crisis speeds up electrification in emerging markets

Chinese exports, March-May 2026/March-May 2025



SOURCE: EMBER

RENEWED INTEREST IN EASTERN EUROPE'S GAS RESOURCES

Some emerging European countries are expected to benefit from the European Union's initiative to diversify its gas supply sources, particularly as it faces its second energy crisis in four years. In 2022, the RePowerEU programme set, among other things, a target to diversify gas supply sources, a commitment that has been recently bolstered by the decision to completely cease Russian gas imports by 2027. This policy strengthens the EU's focus on European resources and ensures avenues for European production. This includes the coming on stream of offshore gas field in Romania, which is expected to become the second largest gas producer in the European Union by 2027. The surplus available for export could represent around 2% of the total European gas imports. In addition, Cyprus is also expected to benefit from Europe's commitment to diversifying its imports. By the end of the decade, Cypriot gas resources are expected to transit through Egyptian liquefaction terminals to supply the local market, and to export LNG to Europe.

TEMPORARY REBOUND IN COAL

In response to the rise in LNG prices, there has been an uptick in coal demand since the onset of the crisis. This surge has resulted in a significant increase in coal prices, estimated at around 15-20% compared to pre-crisis levels.

1 To find out more, read our Regional overview of the consequences of the energy shock in our latest EcoPerspectives: Regional overviews up to 13 July 2026.
2 International Energy Agency, 2026, World Energy Investment.
3 Ember, 2026, Global Electricity Review.

The growing share of coal in the electricity mix, at the expense of gas, is affecting many Asian countries, including China, India, Bangladesh, Pakistan and the Philippines. However, for the time being, this relates solely to the increase in the utilisation rates of coal-fired power plants. At this stage, the energy crisis explains the postponement of the decommissioning of certain power plants, such as those in Thailand, yet it has not triggered any investment decisions regarding new production capacities. The implications of this situation are significantly less severe than those of the 2022 crisis, which saw coal prices quadruple and result in an increase in coal extraction capacities.

In China, the world's leading producer of coal-based electricity, which constitutes over half of its electricity mix, both domestic demand for coal and imports declined in the first four months of the year, by 1% and 9% year-on-year, respectively. This decline occurred despite a 6% year-on-year increase in electricity consumption during the same period[4]. This is due to various factors, including several maintenance operations in the sector, greater efficiency of thermal coal plants, and a steady rise in the production of decarbonised electricity, with wind and solar power generation increasing by 1% and 29% year-on-year, respectively. In India, the rise in demand for coal during Q2 2026 is partly due to higher LNG prices and supply constraints, as LNG imports from the Middle East account for 29% of gas available in the domestic market, but is primarily driven by the onset of the seasonal peak in electricity consumption.

THE CRISIS IS ACCELERATING INDIVIDUAL INVESTMENTS IN DECARBONATION

In terms of the decarbonation of energy mixes, the crisis is either confirming or intensifying trends already underway in certain countries. Moreover, it does not appear to be triggering any new momentum in countries where there had not yet been a marked shift towards a low-carbon transition. In Asia, notable developments have been observed in Pakistan and the Philippines, which are among the countries most affected by the energy crisis. Since 2023, Pakistan has seen a remarkable surge in solar power generation, driven by household demand and facilitated by tax exemptions on solar panel imports. The 21% increase in electricity production since 2023 has been made possible by the growth in solar production capacities. Over the first four months of 2026, Pakistan emerged as the third-largest recipient of Chinese solar panel exports, with China accounting for around 80% of global solar equipment production capacities. Similarly, the Philippines, which are also experiencing a significant increase in solar equipment, ranked as the second-largest destination for Chinese solar panel exports during this same period. In addition, in response to the energy crisis, the Philippine Department of Energy has opted to accelerate the deployment of 1.5 GW of renewable capacities along with associated storage capacities. Across all ASEAN countries, solar panel imports from China more than doubled year-on-year in the first quarter following the onset of the crisis.

ACCELERATION OF ELECTRIC MOBILITY

Similar to the increase in solar panel equipment, households in emerging countries have responded to the energy crisis by stepping up their purchases of electric vehicles. This trend is particularly notable in Southeast Asia, where electric vehicle ownership rates have surged since 2023. Despite ongoing challenges related to the costs of vehicles and charging infrastructure, some countries (such as Singapore and Vietnam) have achieved penetration rates that surpass those of the EU, while others, like Thailand, are nearing those levels. Some governments, including Laos and Cambodia, have recently introduced measures to promote the electrification of transport. In 2025, Southeast Asian countries emerged as the most dynamic market for the sale of electric vehicles. Moreover, between March and May 2026, the value of Chinese exports of electric vehicles increased by 50% compared to the same period in 2025. Similarly, sales to Latin America recorded a strong rebound over the same period, increasing by 59% year-on-year in an already relatively dynamic market. In Africa, however, progress is more difficult to measure, as much of the advancement in electric mobility pertains to two-wheeled vehicles, with a significant portion of Chinese model production being produced locally.

ELECTRIFICATION – AND THEREFORE CHINA – ARE THE BIG WINNERS

From the initial trends primarily observed in emerging Asia, three key insights can be drawn: **1/** the dynamics of transition in response to the energy crisis are currently influenced by individual decisions (whether from households or businesses), which tend to be more reactive in the short term; **2/** this momentum also concerns the electrification of uses, a phase of the low-carbon transition that typically progresses at a slower pace (as demonstrated by recent developments in Europe); **3/** China is poised to be one of the main beneficiaries due to its dominant global position in the photovoltaic and electric mobility sectors (considering all technologies associated with the low-carbon transition, Chinese exports increased by 36% year-on-year between March and May 2026).

This situation illustrates the paradox of the relationship between low-carbon transition and energy security. Given China's dominance in many segments of the transition, the issue of sovereignty continues to arise, extending beyond merely reducing reliance on hydrocarbon imports. Chinas' dominance over the entire battery value chain (both mobile and stationary), which is currently the most dynamic segment, is expected to keep this issue at the forefront of discussions in the years to come.

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4 China Energy Monthly, Oxford Institute for Energy Studies, 22 June 2026.

ECONEWS

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ADVANCED ECONOMIES

EUROPEAN UNION

Choosing growth, slowly: carbon and banking editions. The European Commission (EC) has proposed to give polluting industries more time and funding to decarbonize, while keeping the target of 90% emissions reduction by 2040. Steelmakers, chemical producers and power generators would be able to benefit from carbon-emission allowances until 2048 (instead of 2039). Governments are encouraged to raise the share of the carbon allowances proceeds used to help polluting industries decarbonize to 50%, from 5% currently. The EC simultaneously unveiled an Electrification Action Plan seeking to lift electricity's share of final energy consumption from 23% to 46% by 2040. Meanwhile, in its Report on bank competitiveness, the EC outlines a strategic direction to strengthen Europe's banking sector and support growth. Three main objectives: **1/** fostering market integration. Cross-border banking groups could be allowed to use capital and liquidity more efficiently across the EU, along with a replacement of the 2015 EDIS proposal with a simpler mechanism built on existing safety nets. **2/** implementing Basel III standards while better reflecting the specificities of the EU banking sector and preserving an international level playing field. **3/** simplifying the regulatory framework, notably with respect to the number of capital buffers. This report will be followed by a legislative package in Q1 2027.

EUROZONE

ECB expected to hold this week. All 41 respondents in a Bloomberg survey of economists predict no change at the July 23 ECB meeting. Most anticipate a final 25bp hike to 2.5% in September. We agree. Industrial production edged down 0.2% m/m in May but continued to rise on a three-month moving-average basis, with capital goods output still increasing strongly and intermediate goods showing signs of bottoming out. *Coming up: ECB meeting, new car registrations for June, flash July PMIs (Friday).*

- France: OATs on election watch. Over the past week, the combination of the resumption of hostilities in the Gulf and French political news has led OATs to underperform global bonds: the French 10-year rate has risen by 24 bps to 3.96%, a level not seen since 2009. The spread with Germany, at 80 bps, has returned to the upper end of the range observed since the 2024 National Assembly dissolution. The extra cost of debt service is expected to account for 60% of the very limited increase in nominal spending in the 2027 budget (near 2x more than the increase in defence spending).

- Franco-German summit: seeking new common ground. Following their meeting in Brühl on Friday, President Macron and Chancellor Merz announced they had tasked relevant ministers (finance, economy and foreign affairs) to come up with a common roadmap by September for dealing with overwhelming Chinese import pressure. *Coming up: INSEE business confidence (Thursday).*

- Germany: Wholesale prices surprised to the downside in June, falling 0.7% m/m against expectations of a marginal increase (+4.9% y/y, down from 5.9% the previous month). This was fueled by decreasing energy and agri-food costs, although prices for machinery, capital equipment, and consumer goods remained on an upward trend.

- Italy: Record trade surplus of +EUR 4.8 bn in May. Excluding energy, the surplus amounted to +EUR 10.5 bn. Exports grew by 4.1% y/y, more to non-EU countries (+6.8% y/y) than EU countries (+1.7% y/y).

UNITED KINGDOM

Growth returns as a new Cabinet takes office. GDP rose by 0.1% m/m in May, vs. stagnation expected, following a 0.1% decline in April. It was driven by the services sector (+0.3%), notably medical R&D and retail sales. By contrast, construction fell by 0.8% and industrial production by 0.5% — its first monthly drop since January. In the industrial sector, slight gains in manufacturing (+0.1%) were offset by a slump in crude petroleum and natural gas extraction (-4.8%), hitting its lowest level since records began in 1990. **Andy Burnham** has taken over from Keir Starmer as Prime Minister today. He has vowed to be "pro-business", decentralize decision-making, adhere to the fiscal rules set by the previous Chancellor, and deliver "distinctly Labour" policies. Bond markets are watchful, with 10-year yields on Gilts 100 bps above those on OATs despite a debt/GDP ratio lower by over 20 percentage points. *Coming up: May labour market statistics (Tuesday), June inflation (Wednesday), June retail sales, July BoE Decision Makers Panel inflation survey (Friday).*

UNITED STATES

Inflation relief but no "mission accomplished". US consumer prices fell 0.4% m/m in June — the first decline since 2020 — dragged down by the largest drop in gasoline prices since 2022. Core CPI was flat on the month. Producer prices undershot expectations as well: PPI fell -0.3% m/m in June, a sharp reversal from +0.6% in May, and slowed to +5.5% y/y, as well as core PPI (ex-food & energy): +0.2% m/m, +4.7% y/y. Nonetheless, Fed Chair Warsh explicitly told Congress during the regular twice-yearly testimony that there were no grounds to declare "mission accomplished", and multiple other FOMC members expressed either willingness or readiness to raise interest rates. Meanwhile, activity remains solid: Fed Beige book confirmed activity is rising moderately across nearly all sectors and Fed districts, as did the NY and Philadelphia manufacturing surveys. Small business optimism (NFIB) rose to a 4-month high. Publicly held US federal debt surpassed 100% of GDP for the first time since 1946.

Tariffs return. This week, the US imposed a 25% tariff on goods imports from Brazil under Section 301 of the 1974 Trade Act targeting unfair practices. A key one in scope for USTR is Brazil's instant payment system PIX, owned by the central bank, which is accused of taking business away from US credit card companies. This is likely the first in a new round of tariff announcements as the "Section 122" tariffs — a temporary 10% universal tariff introduced to replace those that had been declared unlawful by the Supreme Court — are set to expire on July 24.

JAPAN

High inflation expectations and policy support for the Yen. A BoJ survey showed households' average inflation expectations ("price level over the next five years") rising to 10.8%, the highest since 2006, even as the median measure stayed unchanged at 5.0%. Industrial production remained soft in May (+0.1% m/m but -2.1% y/y), though output of electronic parts and devices rose strongly again (+1.2% m/m, +14.2% y/y). Finance Minister Satsuki Katayama renewed her encouragements to the Government Pension Investment Fund to raise its holdings of domestic financial assets and hinted at including government bonds in the tax-free Nippon Individual Savings Account programme; both measures will be supportive of the yen. Upcoming: June inflation (Friday).

Find out more in our scenario and forecasts

EMERGING ECONOMIES

ASIA

China: Q2 GDP disappoints; exports surge. Real GDP growth slowed more than expected, reaching +4.3% y/y in Q2 2026 (+0.9% q/q) vs. +5% y/y in Q1 (+1.3% q/q). Industrial production growth slowed in Q2 but rebounded slightly in June (+5.3% y/y) after the trough in April-May (below 4.5% on average). Production in services posted the same trends (+4.7% in June after 4.4% in April-May). In Q2, retail sales value almost stagnated (+0.2% y/y on average) while fixed-asset investment value contracted (-5.7% y/y year-to-date). Investment in infrastructure fell, in line with the decline in local government spending. Meanwhile, exports rose by 20% y/y in Q2, largely driven by tech products. Total import value surged by 30% y/y in Q2. China's trade surplus reached USD 1.17 bn in the 12-month period to June 2026, only slightly lower than USD 1.18 bn in 2025.

South Korea: First interest rate hike by 25bp, at 2.75%. With inflation likely to remain above target for the rest of the year (3.2% y/y in June) and economic growth expected to remain strong, further tightening is likely. Fuel and transport price inflation is high, but the central bank is more concerned about the rise in core inflation. The economy is well placed to cope with higher interest rates.

LATIN AMERICA

Argentina: Inflation slowdown. In June, CPI inflation slowed for the third consecutive month to below 2% for the first time since August 2025. Core inflation decelerated to 1.6%. Year-on-year inflation rates were 33.5% for headline CPI and 31.8% for core CPI.

ENERGY

Prices jump higher again. Brent oil prices rose by 9% last week and by 22% since the resumption of hostilities between US and Iran. The pace of decline in US SPR oil inventories has been slowing (-3 mb in the week starting 10th July against -6.2 mb the week before), but withdrawal remains substantial. In June, OECD commercial oil inventories reached their lowest level since 2014 at 2,602 mb, equivalent to 57 days of OECD consumption. European gas prices (TTF) rose by 17% over the week to reach 60 €/MWh (Monday 20th at the opening) and by 35% since the resumption of hostilities between US and Iran, while Asian and European demand are sustained by seasonal factors and the need to refill inventories.

The conflict in the Middle East: a massive blow to growth in the Gulf

Stéphane Alby

For the first time since 2009 (excluding COVID), the GDP of the Gulf Cooperation Council (GCC) is expected to contract this year (-0.8%), whereas pre-conflict forecasts had predicted growth of 4.7%. Far from benefiting from the sharp rise in energy prices triggered by the conflict, the scale of the downturn reflects the severity of a shock that is undermining many of the pillars of the Gulf economies. Nevertheless, the consequences are varying from one country to another, depending on the level of diversification and, above all, on the degree of vulnerability to disruptions in the Strait of Hormuz.

Gulf countries: severe growth impact, but uneven across economies

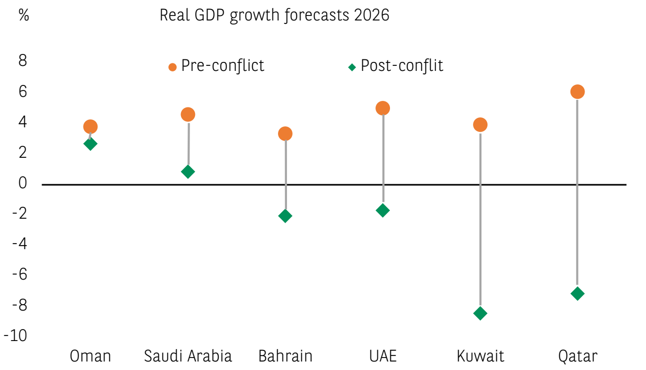

CHART 1 SOURCE: BNP PARIBAS

Hydrocarbon production declines drive most growth downgrades

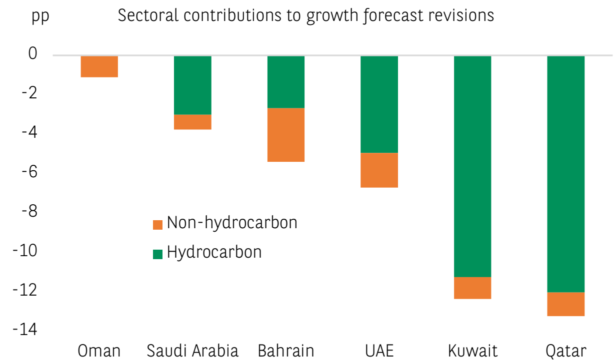

CHART 2 SOURCE: BNP PARIBAS

Saudi Arabia and Oman have been relatively unscathed, while the UAE, Kuwait and Qatar have been hit hard

Only two countries are not expected to experience a contraction in their GDP in 2026: Saudi Arabia and Oman. Having been largely spared from the attacks and possessing infrastructure outside the Strait of Hormuz, Oman is a special case. Its economy is expected to grow by around 3%, a rate close to the forecast at the start of the year. For Saudi Arabia, the downturn is larger. Initially forecast at 4.6%, growth is now projected at 0.8% in 2026 due to the fall in hydrocarbon-related GDP. Nevertheless, the impact is less severe than for other countries in the region thanks to the port of Yanbu on the Red Sea operating at full capacity. Excluding hydrocarbons, the strength of domestic demand is also helping the Saudi economy to hold up better, unlike the UAE, whose outward-oriented economic model is vulnerable to the deteriorating security situation. Despite the port of Fujairah, which is allowing trade to bypass the strait, a contraction in the UAE's real GDP of close to 2% is now anticipated, representing a shortfall of almost 7 percentage points compared with pre-conflict forecasts. For Kuwait and Qatar – the least diversified economies in the Gulf, with no alternative to the Strait of Hormuz – the impact on growth is even more severe, as their real GDP is expected to contract by 7 to 8%.

The macro-financial situation remains sound

Further revisions are possible, given the fragility of the negotiations between the United States and Iran. Nevertheless, the macro-financial situation of the Gulf states is not giving cause for major concern. In addition to the considerable foreign assets managed by the region's sovereign wealth funds (over USD 4 trillion, or 175% of the GCC's GDP), and government debt averaging just over 30% of GDP, relatively high global energy prices could help to absorb some of the losses incurred during a complete closure of the Strait. At an aggregate level, the GCC is therefore expected to record current account surpluses in 2026 (+2% of GDP, compared with +4.7% of GDP in 2025). Furthermore, the budget deficit is expected to remain below 2% of GDP. The reorganisation of logistics flows in the region and the control of fuel prices have also helped to contain the inflationary risk caused by the crisis. Although on the rise, average inflation in the Gulf countries is not expected to exceed 2.5% this year, compared with 1.7% in 2025.

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JULY 2026

Energy shock: Dashboard 2026 vs. 2022

Special update: June 2026 Eurozone data

BNP PARIBAS

The bank for a changing world

Energy shock: Dashboard 2026 vs. 2022

This special issue concerns the update of Eurozone data.

Will the same causes produce the same effects? In other words, will the war in Iran and the resulting surge in oil and gas prices lead to an inflationary shock comparable to that seen in 2022? Will their negative effects on growth be the same as those of the war in Ukraine and the subsequent energy shock?

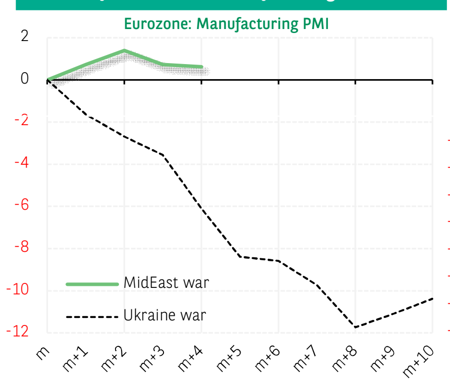
We have selected a set of indicators to track the impact of this new energy shock — caused by the war in the Middle East — on activity and prices in the Eurozone, the United States, oil and gas markets and emerging countries, and to see how much the current situation resembles that of 2022 at the outbreak of the conflict in Ukraine.

This dashboard features charts and comments that will be updated on a monthly basis for as long as necessary.

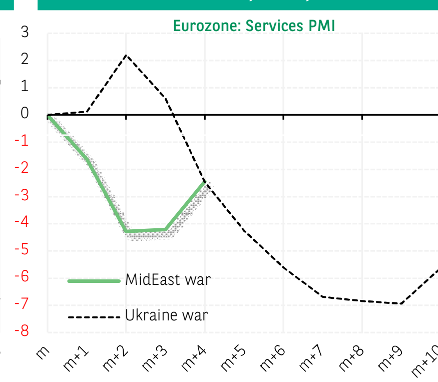
The expectation that the surge in inflation, driven by this new energy shock, would be more moderate than in 2022 (with demand being less dynamic and supply less constrained) is confirmed. However, following the Memorandum of Understanding signed in mid-June between the United States and Iran, inflationary risk has eased but has not disappeared. This MoU has reduced the risk of a severe escalation of the conflict, but the resurgence of tensions and military strikes in mid-July shows that the situation is far from resolved.

When we compare the impact on economic activity of the current energy shock with that of 2022 (following the conflict in Ukraine), the favorable point in 2026, for the euro area, is the business climate in the manufacturing sector, which is holding up better than in 2022. Consumer confidence has fallen sharply but to a lesser extent in 2026 than in 2022. As for the deterioration in the business climate in the services sector, it was immediate in 2026, whereas it occurred with a few months' delay in 2022.

June 2026: Limited correction of business confidence in the manufacturing sector



June 2026: Business confidence in the services sector picks up



Change since m = 0 = February 2026 / February 2022. Unit: inflation change in percentage point, point for confidence surveys.

Source: European Commission, Macrobond, BNP Paribas

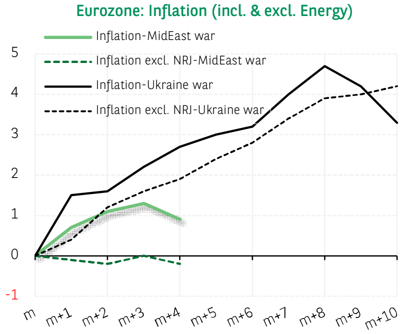
Eurozone: The drop in oil prices drives inflation in its wake, tempers inflationary pressures and supports confidence surveys

We have selected two inflation measures (with and without energy) and six survey indicators: business confidence, as measured by the PMIs in the manufacturing and services sectors; the "input prices" and "output prices" components of the composite PMI (in order to identify direct inflationary pressures); the "suppliers' delivery times" component of the manufacturing PMI (a direct indicator of possible supply difficulties and supply-demand imbalance, and therefore, indirectly, of inflationary pressures in the making); household confidence, as reflected in its "assessment of financial situation in the next 12 months" component (in order to capture the impact of inflation on purchasing power). The trends in each of these indicators are observed relative to month m=0, corresponding to the start of the conflict. Each line does not represent the level of the indicator, but its cumulative variation compared to month m=0.

The assessment of the June data is positive and reinforces the encouraging signals from May data. Symmetrically to its rise, which was largely driven by the "energy" component, inflation has significantly receded due to the marked drop in oil prices in June. According to PMI business climate surveys, inflationary pressures have also eased. Delivery times are also benefiting from the supportive impact of the MoU (signed in mid-June between the United States and Iran) and are improving slightly. The business climate in the manufacturing sector has slipped again but marginally. Business confidence in the services sector and consumer confidence continue to recover. The expected improvement due to the reduced risk of a severe escalation of the conflict in Iran is materializing. It remains to be seen whether it will withstand the persistence of uncertainties and the resurgence of tensions in mid-July.

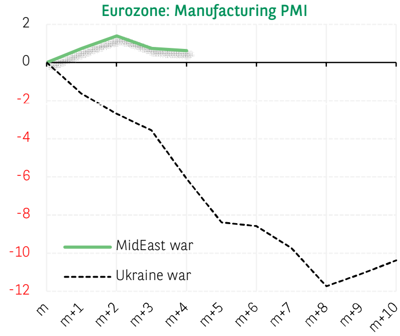
June 2026: End of the energy-led rise in inflation?

Eurozone: Inflation (incl. & excl. Energy)



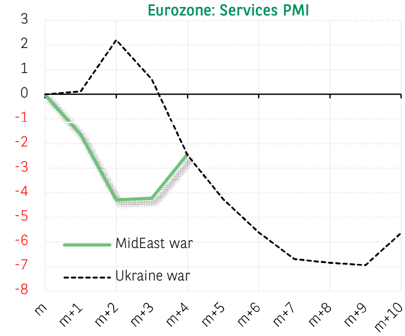
June 2026: Limited correction of business confidence in the manufacturing sector

Eurozone: Manufacturing PMI



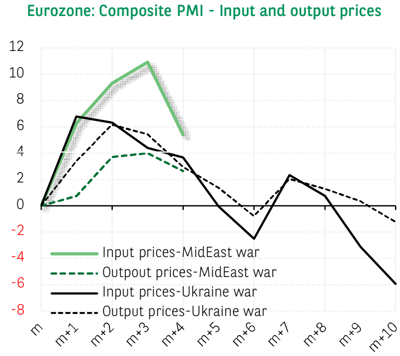
June 2026: Business confidence in the services sector picks up

Eurozone: Services PMI



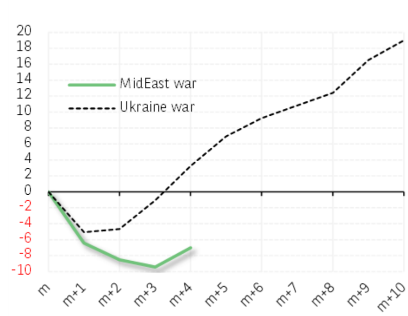
June 2026: Moderation of price pressures

Eurozone: Composite PMI - Input and output prices



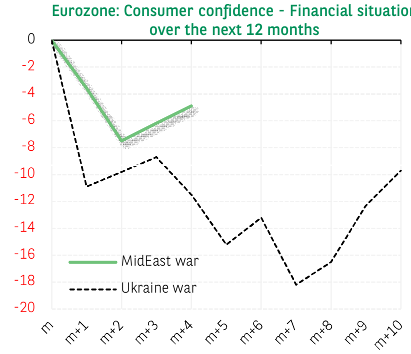
June 2026: Small improvement in supply tensions (slightly shorter delivery times)

Eurozone: Manufacturing PMI - Suppliers' delivery times



June 2026: Further improvement in consumer confidence

Eurozone: Consumer confidence - Financial situation over the next 12 months



Change since m = 0 = February 2026 / February 2022. Unit: inflation change in percentage point, point for confidence surveys.

Source: S&P Global, Eurostat, European Commission, Macrobond, BNP Paribas

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WHEN INTRA-EU TRADE FINDS A NEW BALANCE

Guillaume Derrien with the help of Maëlys Biot (intern)

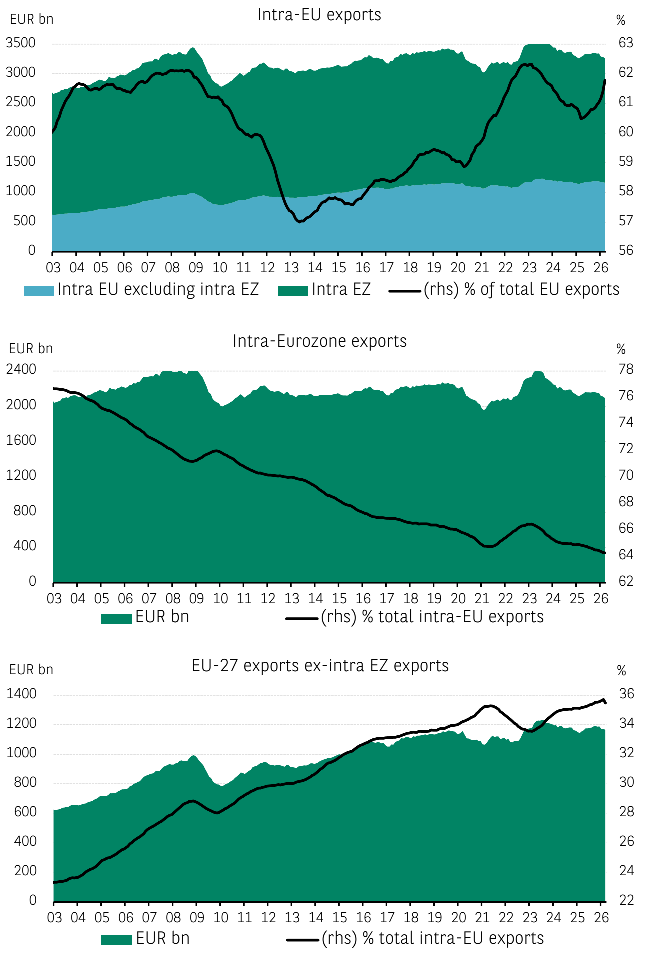
The share of intra-EU exports in total European exports currently stands at around 62%, a level comparable to that seen in the early 2000s. Behind this apparent stability, however, lies a deep reshuffling of the major blocs that make up the European Union. The share of trade within the Eurozone in total intra-EU exports has declined almost continuously. It fell from about 77% in the early 2000s to just over 64% today (April 2026). Conversely, the share of flows between the Eurozone and the rest of the European Union (31.5%), along with, to a lesser extent, trade among the six countries[1] outside the Eurozone (4.0%), has risen symmetrically. There is little doubt that the growth gaps expected between the Eurozone and the more dynamic economies of Central Europe and Scandinavia by the end of the decade, according to IMF projections[2], will fuel this trend.

This rebalancing stems first and foremost from EU enlargement. The Central European countries, whose EU integration began in 2004 (2007 for Romania), have gradually climbed up European industrial value chains. This is particularly true in machine tools, transport equipment, and, more recently, defense (Poland), a sector in which Sweden is also a major player. Foreign direct investment flows from the Eurozone and from outside Europe (China[3]) have accompanied this upgrading, anchoring these economies as central players in European value chains.[4]

The Eurozone remains by far the EU's main export market, and most of the industrial value added remains concentrated there. This gradual shift in trade patterns is nonetheless not politically neutral, and it is progressively redrawing the balance of power within the EU. The ongoing negotiations over the next Multiannual Financial Framework (2028-2034) are one of the current illustrations of this.

This reorientation is slow and uneven, but it remains an important signal. At a time when global trade tensions and Chinese competition are undermining opportunities outside the EU, this internal redeployment of trade acts as a buffer for European exports, which is positive for the continent's economic growth. It is also, and above all, one more argument—if one were needed—for strengthening the European single market, the only framework capable of turning these new synergies into lasting competitiveness gains for the whole continent. Hence the importance for European leaders of making the 'One Europe, One Market' plan a success.

In intra-EU trade, the eurozone is losing ground to the other member states



Note: Constant price, 2020. Data are deflated using unit value index of exports

CHARTS SOURCE: EUROSTAT, BNP PARIBAS

1 Denmark, Hungary, Poland, Romania, Sweden, Czech Republic.
2 According to April 2026 forecasts, average annual growth in the Eurozone is expected to be 1.2% over 2026-2030, versus 2.1% for the six non-Eurozone countries.
3 See Rhodium Group's latest report on this topic: Chinese Investment in Europe Rises to Seven-Year High: Chinese FDI in Europe 2025 Update – Rhodium Group
4 See C. Kalasopatan Antoine, Central Europe: Moving up the value chain, BNP Paribas, February 4, 2025.

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